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Insurance underwriting process

IF3

2026
**KEY
FACTS**

Insurance underwriting process

IF3: 2026 Key facts

This edition is based on the 2026 examination syllabus to be examined from 1 January 2026 until 31 December 2026.

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Print edition ISBN: 978 1 83727 488 8

Electronic edition ISBN: 978 1 83727 489 5

This edition published in 2025

Typesetting, page make-up and editorial services CII Learning Solutions.

Printed and collated in Great Britain.

This paper has been manufactured using raw materials harvested from certified sources or controlled wood sources.

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1

Material information

Good faith

A contract is an agreement between two parties which is legally binding. However, not all agreements are legal contracts. For a contract to be legally binding, certain elements must be present. These include:

- an *offer*,
- *acceptance* of the offer; and
- *consideration*, i.e. a benefit received by one party in return for a promise of the performance of an act by another party.

Using an insurance contract as an example we can appreciate more easily how they apply in practice.

Proposer provides information to insurers and requests a quote for motor insurance:	This is the presentation of the risk.
Insurers provide a quotation to the proposer:	This constitutes the offer.
Proposer accepts the quotation:	This constitutes acceptance.
Proposer pays the premium to insurers:	This constitutes consideration.

Insurers must also provide consideration to make the contract legally binding:	They promise to indemnify the proposer under the terms and conditions of the insurance contract in the event of a valid claim.
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Most contracts are dealt with under a legal principle known by a Latin term, *caveat emptor*, or **buyer beware**. There are some statutes which also apply, giving protection to consumers against unfair practices.

Insurance contracts are different, as they are based on a promise to do something in the event that a certain set of circumstances occurs, in exchange for payment of the premium. But, because in the case of insurance, the promise is not tangible until a loss occurs, contracts are governed by a different legal principle, known as *good faith*. This was formerly known by the Latin term, *uberrima fides*, or utmost good faith.

This principle imposes a duty which means that any party wanting to take out insurance (i.e. a *proposer*) must provide all information asked for by the insurer. And, in the case of:

- **consumer contracts** ensure that all information provided in response to questions asked, or any additional information the proposer chooses to volunteer, is **full and accurate**; and
- **non-consumer contracts** ensure that there has been **fair presentation** to the insurer, a 'reasonable search' has been carried out of the proposer's business, and that important information has been 'signposted' for insurers. This information is viewed as material to the subject matter of the insurance and the insurer's acceptance of the risk. It can be information or material circumstances.

Material information

The **Marine Insurance Act 1906** defines material fact, rather than material information or material circumstances, as follows:

Every circumstance is material which would influence the judgment of a prudent insurer in fixing the premium or determining whether to take the risk.

This definition was debated for a number of years with many believing that it put insurers in a more advantageous position than proposers as they were able to determine what was material and what was not.

There was also concern that any issues with the information supplied were only usually identified in the event of a claim.

The Consumer Insurance (Disclosure and Representations) Act 2012 and Insurance Act 2015 addressed this imbalance for consumers and businesses respectively.

The requirement to disclose material facts was changed by the Consumer Insurance (Disclosure and Representations) Act 2012. Consumers are only obliged to answer questions asked of them by insurers in the proposal form, but they must take care to answer those questions fully and accurately. They must also do this with any information they choose to volunteer to the insurer (i.e. that has not been requested by the insurer).

For non-consumers, the definition of what constitutes a **material circumstance** is now set out clearly in Section 7 of the Insurance Act 2015:

... a circumstance or representation is material if it would influence the judgment of a prudent insurer in determining whether to take the risk and, if so, on what terms.

Examples of material circumstances include:

- special or unusual facts relating to the risk;
- any particular concerns which are leading to the request for insurance; and
- any facts that are specific to the class of business in question.

Reinforce

If a circumstance or representation would influence an insurer's decision to take the risk, it is material.

At first, this does not sound very different to the Marine Insurance Act 1906. However, the new Act goes on to say under Section 7:

... a material representation is substantially correct if the prudent insurer would not consider the difference between what was represented and what is actually correct to be material.

This is extremely important not only in distinguishing the existing position under the Marine Insurance Act 1906, but in setting the tone for the entire Act. An insurer's ability to rely on misrepresentation or non-disclosure is affected by whether any incorrect representation would make a difference to the insurer's decision to take the risk.

It should be noted that there is some information that does not need to be disclosed, including:

- facts of law;
- facts of public knowledge;
- 'spent' convictions, as certain legislation does not allow them to be considered. It is worth thinking about this for private individuals/consumers compared to businesses where fines and penalties can have a different impact and may still require disclosure;
- facts that improve the risk;
- facts where the insurer has waived its rights to certain information;
- facts that a survey should have revealed;
- facts an insured did not know;
- facts covered by the policy terms; and
- facts that the insurer already knows, including those that its employee(s) know.

Most insurers encourage proposers to ask if they are uncertain whether something is material or not.

Disclosing material circumstances under the Insurance Act 2015

For non-consumer contracts in the absence of enquiry, the Insurance Act 2015 does not require the insured to disclose a material circumstance if:

- it diminishes the risk;
- the insurer knows it;
- the insurer ought to know it;
- the insurer is presumed to know it; or
- it is something as to which the insurer waives information.

Presenting the risk

Consumer Insurance (Disclosure and Representations) Act 2012

The core change under the Consumer Insurance (Disclosure and Representations) Act 2012 was to abolish the duty on **consumers** to volunteer material facts, material information or material circumstances. They are no longer required to consider what a prudent insurer would deem material; instead, they must answer all questions asked by the insurer fully and accurately. Any information they do volunteer must also be full and accurate. Specifically, they must take reasonable care not to make a *misrepresentation* to the insurer as outlined in section 2 of the Act:

It is the duty of the consumer to take reasonable care not to make a misrepresentation to the insurer.

Defining a consumer

A consumer can be defined as an individual who purchases an insurance policy primarily for their own private needs and not related to their profession, business or trade.

The Act also sets out how insurers must assess whether a consumer has taken reasonable care.

They must consider:

- the type of insurance and the customer it is aimed at;
- any explanatory material produced/authorised by the insurer;
- the clarity of the insurer's questions;

- how clearly the insurer communicated the importance of answering their questions;
- how clearly the insurer communicated the consequences of failing to answer their questions; and
- whether an agent was acting for the consumer.

Crucially, the Act states that:

A misrepresentation made dishonestly is always to be taken as showing lack of reasonable care.

Therefore, this does not protect consumers who intentionally deceive the insurer.

Be aware

The FCA has introduced a new Consumer Duty intended to improve how firms serve consumers. It has set higher and clearer standards of consumer protection and firms are now required to put their customers' needs first.

Vulnerable customers

In February 2021, the FCA issued its finalised guidance for firms on the fair treatment of vulnerable customers.

A vulnerable customer is defined as: 'someone who, due to their personal circumstances, is especially susceptible to harm, particularly when a firm is not acting with appropriate levels of care.' Examples of vulnerability could include poor health, life events such as being recently bereaved, and poor literacy or numeracy skills.

The guidance focuses on three key areas:

- understanding the needs of vulnerable customers;
- the skills and capabilities of staff; and
- how firms can take practical action.

Firms should monitor their actions to ensure they treat vulnerable customers fairly. Where the needs of vulnerable customers have not been met, appropriate changes must be implemented by firms to improve processes.

Insurance Act 2015

As with the Consumer Insurance (Disclosure and Representations) Act 2012, it is important to emphasise here that while the Insurance Act 2015 replaces the Marine Insurance Act 1906 for non-consumers, a large part of its intent is to simply clarify the provisions of that previous legislation.

The Act creates a duty on non-consumers to make a **fair presentation of the risk**, involving three key elements:

- The proposer must disclose every material circumstance it knows or ought to know. Failing this, the proposer must notify the insurer that it needs to make further enquiries about certain material circumstances.
- The proposer must ensure that its representation of the risk is clear and accessible. This relates to how the information is presented to insurers, rather than the content. It means including adequate signposting for material circumstances following a reasonable search of their business/risk. It also clearly sets out that vague information, or information lacking in full detail, will not be classed as clear and accessible.
- All material circumstances represented must be substantially correct and made in good faith. The latter is particularly important for any representations made about

future events (i.e. the proposer must believe that they are accurate).

In summary, fair presentation must be clear and accessible, and take care not to (deliberately or otherwise) disclose limited information that could mislead.

Insurers must ask questions where appropriate, which are clear about the circumstances they are attempting to determine.

At first glance, this is not very different to the Consumer Insurance (Disclosure and Representations) Act 2012. In fact, the main difference is that non-consumers still need to disclose relevant information, even if the insurer does not ask for it. Consumer insurance contracts, on the other hand, are dependent on questions asked by insurers. The reason for this difference is, in part, because non-consumer contracts tend to be transacted via intermediaries, who are paid a fee or commission to provide advice and guidance to proposers on what insurers are likely to want to know about the risk being proposed.

Contracting out

It is possible for the parties to the insurance contract to agree that the provisions of the Insurance Act 2015 will not apply, and therefore that the **previous law on disclosures would apply**.

This means that in certain circumstances, parties are able to revert back to the position under the Marine Insurance Act 1906 discussed earlier.

The Insurance Act, however, puts a burden on insurers to be transparent when explaining the implications of this to proposers, and should they not do so, then any apparent contracting out within the documentation may have no legal effect. This is important as both the proposer and the insurer

must agree to contract out; one cannot do so without the express agreement of the other. The Act anticipates different requirements based on the relative sophistication of the customer, and also recognises that if a broker is involved then they have a duty to alert their client to the potential disadvantages of these choices.

Duration of the duty of fair presentation

The duty of fair presentation starts when negotiations begin and lasts throughout the life of any policy.

If an insured wishes to change a policy mid-term, such as amending the sum insured, description of the property, or the driving limitation under a motor policy, the duty is revived as if a new contract is formed.

Insurers may, however, insert in their **policy wording** a continuing requirement to modify their rights under common law, thereby changing the duty on the proposer. This will be different for different classes of business and the following are some illustrations:

- **Commercial property insurance.** A policy condition requiring continuing disclosure of removal to another location, or circumstances that increase the risk of damage.
- **Motor and home insurance.** There is sometimes an onerous condition requiring continuing disclosure of all material changes for the duration of the policy, not only at the time of variations to the policy (i.e. a newly sustained conviction or an accident or loss). Under the new Act, insurers must not only make clear the continuing requirement to ensure that all questions answered are still accurate, but also make clear the consequence of failing to do so.

- **Public liability insurance.** By tightly defining 'the business' of the insured, the insured must notify any extension of activities. This may be coupled with a condition requiring ongoing disclosure.

Pre-cover

The duty of fair presentation exists from the start of the quotation process. The duty would end if a quotation expired after its period of validity.

Inception

The duty continues once cover is bound as a continuing duty of both parties under the contract of insurance.

Under the Consumer Insurance (Disclosure and Representations) Act 2012, insurers must draw the insured's attention to the answers they provided during quotation, ask them to confirm that they are still accurate, and explain the significance of non-disclosure and misrepresentation.

The same is true for non-consumers under the Insurance Act 2015.

Mid-term

Between inception and any subsequent renewal negotiation, there would only be a duty of fair presentation if there was an alteration in risk. As a continuing duty, this is implied. However, most insurers expressly state this duty as a general condition of cover under their policies.

Under the Consumer Insurance (Disclosure and Representations) Act 2012, insurers must draw the insured's attention to the answers they provided at the inception of the policy, ask them to confirm that they are still accurate, and explain the significance of non-disclosure and misrepresentation.

Renewal

The duty of fair presentation exists at renewal. This is because the policy will normally be an annual contract (in the case of short-term business, e.g. non-life, general insurance), renewable every twelve months. In this scenario, it would be helpful for you to treat the policy as a new contract at each renewal, which it is in the eyes of the law.

Under the Consumer Insurance (Disclosure and Representations) Act 2012, insurers must draw the insured's attention to the answers they provided at the inception of the policy, ask them to confirm that they are still accurate, and explain the significance of non-disclosure and misrepresentation.

Claims

This duty also exists in the event of a claim. Insurers may require information to be disclosed to them to assist in providing indemnity under the policy, and are reliant on the information being accurate. The most obvious example of this is when submitting costs in the event of a claim. The duty of fair presentation here is closely linked to the potential for exaggeration and fraud. Again, insurers set out the impact of an insured failing in this duty, most commonly through use of a claims condition in their policy wordings.

Disclosure by an intermediary taking out insurance

Where an insurance contract is entered into on the instruction of one party by an agent or intermediary, they must disclose:

- all the facts communicated to them by the proposer; and
- any additional information they are aware of.

The proposer must use due diligence to communicate all information to their intermediary. In effect, the duty on the

intermediary is no different to the duty on the proposer, as they are acting on the proposer's behalf.

The difference created under the Insurance Act 2015 from previous legislation is that anything the intermediary knows is **imputed** back to the proposer.

Non-disclosure and misrepresentation

A breach of the duty of fair presentation arises in one of two circumstances:

Non-disclosure

The proposer simply fails to tell the insurer something they know, and it is something that would have made the insurer either not enter the contract or do so on different terms.

Misrepresentation

This is where a statement is substantially false, relates to the subject matter of the proposal, and has induced the insurer to enter the contract.

Consumers and remedies

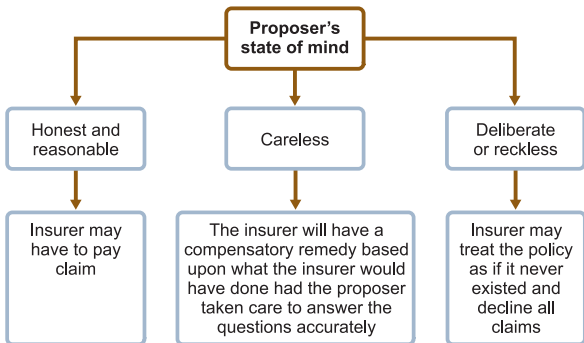
If the consumer took reasonable care (see above) not to breach their duty, the insurer has no remedy under the Consumer Insurance (Disclosure and Representations) Act 2012.

If the breach of duty did not induce the insurer to enter the contract of insurance, they have no remedy under the Consumer Insurance (Disclosure and Representations) Act 2012.

The breach is therefore 'qualifying' under the Act if the consumer did not take reasonable care, and if any breach

led the insurer to enter the contract. In such cases the insurer would have the following remedies:

- If the breach was deliberate or reckless, the insurer could avoid the policy (it would be held to have never existed).
- If the breach was careless, the insurer could:
 - alter their terms and deal with the risk in the same way they would have done had there been no breach;
 - proportionately reduce the amount paid for a claim, if they would have charged a higher premium had there been no breach (similar to underinsurance and application of average, see *Average* on page 51).



Non-consumers and remedies

Under the Insurance Act 2015, insurers only have a remedy where:

- the insured has breached their duty of fair presentation;
- the insurer can show that the breach resulted in their entering into the contract, or entering it on terms they would not have done, had the duty of fair presentation been met by the insured.

Providing these two criteria (above) are met, the insurer has a 'qualifying breach' under the Act and remedies as set out under the Act. The remedy available depends on whether any breach was deliberate or reckless, much in the same way that the Consumer Insurance (Disclosure and Representations) Act 2012 distinguishes between different types of breach.

- If the breach is deliberate or reckless, the insurer may void the policy and refuse claims. A breach can only be deliberate or reckless if the insured knew that it was in breach of its duty, or did not care whether it was in breach of that duty or not. While the burden of proof sits with the insurer, proving recklessness is something the Law Commission has said should be left to the courts.
- If the breach is neither deliberate nor reckless, the remedy depends on what the insurer would have done had the insured fulfilled their duty of fair presentation:
 - If the insurer would not have entered into the contract, they may void the policy and refuse all claims.
 - They may alter their terms and deal with the risk in the same way they would have done had there been no breach.
 - They may proportionately reduce the amount paid for a claim, if they would have charged a higher premium had there been no breach (similar to underinsurance and application of average, see *Average* on page 51). This has proved contentious in some segments of the market, particularly real estate. One large general insurer has come out with a different premium remedy, i.e. they will charge the additional premium that would have been payable had correct presentation been made in the first place, rather than proportionately reducing the claims cost.
- You should note though that the Act does not adopt the term 'careless', as used under the Consumer Insurance

(Disclosure and Representations) Act 2012, it is left undefined.

It is important to remember that these remedies are the minimum an insurer has to adhere to for a non-consumer. They can choose to go further in opting not to pursue remedies for certain scenarios, and several insurers have opted to do so for various reasons, including perceived competitive advantage in attracting customers within specific segments of the market.

Fraudulent breach of duty

If the non-disclosure or misrepresentation is fraudulent (also known as 'concealment'):

- the policy is voidable;
- the insurer can keep the premium and sue for damages; and
- the insurer can ignore the breach of good faith, in which case the policy continues and the insurer would have to pay the claim.

Physical and moral hazards

The insurance industry commonly uses the words 'hazard' and 'peril' in particular ways, with specific meanings. The easiest way to define them is to view hazard in relation to peril:

- A **peril** can be defined as that which gives rise to a loss.
- A **hazard** can be defined as that which influences the operation of the peril.

For example, consider insuring a thatched cottage against fire. Fire would be the prime cause of the loss, but the thatched roof enables the fire to spread more quickly and

cause more damage, if a fire occurs. Here, fire would be the peril, and the thatched roof, the hazard.

Hazard can be further broken down as follows:

- **Physical hazard:** this relates to the physical nature of the risk and includes any measurable dimension of the risk. Examples include:
 - motor insurance – age of driver, condition of vehicle etc.;
 - security protection at a shop – better security systems equal lower physical hazard; and
 - personal accident and sickness – proposer's occupation (for insurance, a construction worker would present a higher risk than a clerical worker);
 - property construction – the higher the construction standard, the lower the physical hazard as the building will be more resistant to damage.
- **Moral hazard:** this arises from the attitude and conduct of people. It is usually the conduct of the insured. However, the conduct of the insured's employees and society as a whole are also examples of moral hazard such as:
 - carelessness – a driver's lack of care can increase the chance of an accident and its severity;
 - dishonesty – a person who has previously made fraudulent or exaggerated claims represents a greater moral hazard than one who hasn't; and
 - social attitudes which do not regard cheating insurers as immoral or illegal.

It is sometimes difficult to distinguish between physical and moral hazards, as one is often symptomatic of the other. Take, for example, poor factory management. This would be a moral hazard (attitude/behaviour), but may manifest itself as a poor physical hazard, e.g. unguarded

machinery, not having signs indicating flammable materials or a non-smoking policy.

Which type of hazard causes insurers the greatest difficulty when quoting for a new risk: moral or physical? Why?

Moral hazard would generally be considered the more difficult aspect of quoting for a risk. Physical hazard is easily manifested, would be picked up quite easily by a standard survey, and there will be rating guidelines for the more common physical attributes of a risk.

Moral hazard is not usually very evident, and relies on the character of the insured. To complicate matters, moral hazard often appears as a physical hazard (for instance, poor housekeeping could result in fire hazards being left lying around), and these could be concealed during a survey. There is no basis for rating such moral hazards and any premium adjustment would be random at best.

Obtaining material information

The proposal form is the most common way for the underwriter to obtain information regarding the risk. There are, however, alternative ways of obtaining material information available to underwriters, their use depending on the class of business involved.

Brokers

Brokers are used extensively in arranging commercial insurances, where their role may extend to preparing documentation for use by the underwriter in the assessment of a risk. This documentation can be extensive and may include a variety of information such as **risk registers** which would include individual exposures and claims experience,

site inspection reports and preparation of health and safety reports.

Risk surveys

Risk surveys are often used to obtain information where the risk is large and/or complex such as in many commercial insurance risks.

Supplementary questionnaires

These are used by some insurers when dealing with particular aspects of risk.

Meeting with clients

This method is used most often in the case of commercial insurances.

Call centres

Call centres are often used by insurers specialising in personal lines. These centres are considered to be very cost effective with computer systems that process documentation very quickly. To cut costs further many insurers have moved these operations offshore.

Internet

Insurers are increasingly using underwriting platforms where proposers can provide material information online. These are sometimes referred to as 'quote and buy' platforms, where a quote can be completed entirely online. However, some systems will trigger a referral to underwriters.

2

Underwriting procedures

Quotation procedure

The procedures relating to quotations can be summarised as follows, although this list should not be viewed as exhaustive:

- The quotation will state for how long it is valid, usually a set number of days, e.g. 30 days.
- When the quotation is issued, **cover is not effective**, i.e. the insurer is not on risk and the proposer is not covered by the insurance. You will recall from the previous chapter, for a contract to come into existence there must be a valid *offer* and *acceptance*. The quotation can be viewed as the offer and a proposer would need to **accept** before the contract comes into existence.
- Unless the insurer has withdrawn the quotation, if the proposer accepts the quotation within the specified timescale, the insurer is legally bound to honour the quotation (on the terms quoted).
- However, if the circumstances upon which the quotation was based change, the insurer is **not** bound to maintain the quotation. Effectively, as the risk characteristics have altered, the quotation was for a different risk.
- During the number of days stipulated, the proposer has the option to accept or decline the quotation.

- When the period has expired and the proposer has not accepted the quotation, the quotation is no longer valid and the insurer is not bound to honour it. The insurer may, however, elect to do so after the expiry of the quotation.
- If no time is stipulated for the quotation to remain valid, the offer remains open for a **reasonable time**, as per the general rules for the interpretation of contracts. The insurer can withdraw the quotation at any time prior to acceptance by the proposer.

Proposal forms and declarations

Consumers

Traditionally the **proposal form** has been the most common mechanism by which the underwriter receives information regarding the risk to be insured. It is completed by the proposer and submitted to the underwriter; it can be requested directly from the insurer or it may be provided by an intermediary. Proposal forms in their original format still exist for a number of classes of business but in some areas have been superseded by the use of the internet and call centres.

A proposal form may not be necessary at the point where an insurer provides a quotation. However, if a quotation is provided without a proposal form, it will normally be subject to the proposer completing one.

With most consumer insurances, insurers are expected to relay the answers to their questions provided by the proposer, both as part of the quotation provided, and post-sale after going on cover. They are also expected to repeat this information to the insured when mid-term adjustments are processed and renewals negotiated.

For consumers, proposal forms also contain a **declaration**. The declaration states that the information supplied by the

proposer is true and correct to the best of the proposer's knowledge and belief, and must be signed by the proposer.

Telephone-based quotations and use of the internet

Insurance is also bought more and more via the internet, with the proposer answering questions posed on screen. It is important to remember here that both the **Consumer Insurance (Disclosure and Representations) Act 2012** and Consumer Rights Act 2015 deal with assumptive statements and tick boxes, particularly concerning e-trade and internet routes to market. This is important as both set out, if not expressly, the clear spirit of such contracts and the requirement to avoid assumptive answers. For example, most insurers have a general acceptance statement that deals with basic eligibility for an insurance quotation and cover; it talks about matters such as previous insolvency, convictions etc. Changes in the law mean that insurers cannot assume positive answers to these questions (e.g. no previous insolvency), but rather must clearly draw a consumer's attention to them, explain the consequences of providing false information, and capture the response the consumer provides.

Commercial package risks

Some commercial insurances are suitable for the types of transaction seen in the personal lines market. These tend to be either for compulsory insurances or part of fixed packages where the cover is up to a limit, rather than bespoke to the proposer's risk. They can be obtained via insurance intermediaries or from the insurer directly. They usually deal with packages for risks such as apartments/small property owners/buy-to-let investors, shops, salons, offices, small contractors and commercial vehicles.

A difference between the personal lines and commercial markets is the prevalence of personal lines insurance products available via aggregators. Aggregators exist in both spaces but not to the same extent.

Larger commercial risks

Although proposal forms are used for most personal insurances (e.g. motor and household), they are often insufficient for many large and complex risks (e.g. industrial complexes, satellites) because of the information required. This is also true of small- and medium-sized commercial risks (e.g. shops and offices), which can also have more complex cover requirements:

- For small- and medium-sized commercial risks, presentations (often prepared for the proposer by their insurance intermediary) will be revised alongside online question sets and factfinders/questionnaires provided by the insurer.
- For large and complex commercial risks, presentations (prepared for the proposer by their insurance intermediary) are supplemented with insurer surveys, factfinders/questionnaires, and even face-to-face meetings with the proposer, insurance intermediary, and insurer.

Insurers may rely on a *subjectivity* (a condition of a quotation that must be met) as part of their quotation to proposers, but it is important that they are not used as ways of obtaining information the insurer should be asking for upfront. This goes back to the **Insurance Act 2015** and the overarching aim that both the proposer and insurer are clear about the information the insurance contract is based on, and the consequences if things go wrong, **before** entering into the contract.

For businesses, proposal forms also include the aforementioned declaration and contain a **warning** (or **important note**). The warning concerns the material information and material circumstances which should be disclosed and points out the dangers if they are not disclosed. It also states that if the proposer is in any doubt whether information is material or not, it should be disclosed.

Questions in the proposal form

These usually consist of **general** and **specific** questions.

General questions

These are common to most general insurances and are usually as follows:

- proposer's name;
- proposer's correspondence address;
- proposer's occupation;
- period of insurance; and
- past insurance history: has the proposer been insured before? Have they had insurance declined? Loss record and claims experience?

Specific questions

These questions are risk specific, i.e. they relate to the particular details of the risk to be insured, and help the underwriter to determine whether or not to accept the risk and on what terms:

- proposer's risk address, e.g. their locality and related risks such as flood, subsidence, or even theft, malicious damage, riot etc.;
- proposer's age, e.g. higher motor premiums for younger drivers;
- description of the subject matter to be insured, e.g. description of buildings in commercial property insurance;
- business details; and
- sum insured or limit of liability.

You should remember that general questions may also be specific questions for certain insurance products. For example, a proposer's occupation is also a specific question

in most commercial insurances and will influence the premium they are charged.

Premium calculation

A premium is the amount paid to an insurer by the insured/proposer in consideration of the insurer agreeing to cover the risk.

One of the tasks of the underwriter is to calculate a suitable, or fair (equitable) premium. A suitable premium is one that reflects the risk presented by the proposer. It is a fundamental principle of insurance that the premiums collected for similar risks proposed form a common pool.

The contribution of the insured (the premium) should reflect the amount of risk they present and the likelihood of taking money out of the pool in the event of a claim.

Pricing is easier for insurers when they are dealing with a large number of similar exposures to risk, whether it is houses, cars, factories or ships. The **law of large numbers** enables an insurer to determine a more accurate premium chargeable to the insured than would be the case if its experience were limited to a few risks. However, some insurers or markets (e.g. Lloyd's) cater for one-off demands for insurance where it can be extremely difficult to estimate a premium (e.g. a specific event or tournament).

Premiums are usually arrived at by applying a **premium rate** to a **premium base**, with the rate reflecting the hazard associated with the insured, and the base being the measure of the exposure. In property-based insurance, this will normally be the value to the insured (replacement cost) or the limit of any payment.

This could be reflected in the following formula:

$$\text{sum insured} \times \text{rate} = \text{premium}$$

A scale of loadings and discounts may be applied to the above rate to reflect various inherent risk features. The rate is a figure set by the insurer based on the likelihood that a claim may have to be paid on the policy. A greater risk will be reflected in a higher rate, and vice versa. For example, a firework factory would be charged a higher rate for fire insurance than an office block. The factory contains more hazardous materials and presents a higher risk to the common pool. The rate could be a **rate per cent** or a **rate per mille**:

- Rate per cent is the price in pounds for each hundred pounds of exposure (e.g. a rate of 1.5 per cent means an insurer would charge £1.50 for every £100 of exposure).
- Rate per mille is the price in pounds for each thousand pounds of exposure (e.g. a rate of 2.5 per mille means an insurer would charge £2.50 for every £1,000 of exposure).

Adjustable premiums

In certain cases, the exposure measure is unknown at the start of the period of insurance, and all that can be provided is an estimate of what the exposure measure might be.

It is important to note here that the provisions of the Consumer Rights Act 2015 (specifically, the prohibition of setting a price after a contract starts) do not apply, provided the insurer and insured are clear that premiums will be adjusted based on changes in exposure.

Flat premium

In other cases, it is practice to charge a flat premium rather than apply a rate to a premium base; for example, motor insurance, where a premium is arrived at by consulting

rating tables which take into account the hazard associated with, among other things, the individual insured and the insured's vehicle.

Factors that influence the premium are found on the proposal form and stored electronically. A premium is automatically calculated on entering answers to a series of pre-programmed questions. Many intermediaries use programs which provide quotations from various insurers based on the rating factors provided. The advantage of this method is the ease of updating for insurers, the ability to provide a range of accurate quotations quickly and easily, and the reduction in the possibility of manual calculation errors.

Policies, cover notes and certificates of insurance

Policies

The insured and the insurer need to be absolutely clear as to the terms and conditions agreed between them, and for this reason, a **policy** is issued. The policy contains all the details of the item/exposure insured, the operative perils, period of cover, exceptions, conditions, the premium and other relevant information. The policy is effectively **evidence of the contract**, and **not** the contract of insurance itself.

The contract of insurance comes into effect once the insurer has accepted the insurance proposal, terms have been agreed and the premium has been paid or has been **agreed to be paid**. Therefore, the contract exists irrespective of the existence of an actual policy document. The policy is useful as proof in the event of a dispute over the terms agreed, but the absence of the policy document does not invalidate the contract.

Cover notes

A **cover note** is essentially a document issued as evidence that insurance has been granted, pending the issue of a policy or policy amendment document and/or endorsements. It can be a completed printed form or a letter confirming cover, or it can be produced electronically. It states simply that insurance is in force and provides brief details of the cover given. The cover note is **temporary** and is superseded once the policy and insurance certificate are issued. The cover note contains the following information:

- commencement date (and time period for motor insurance);
- a statement that the policy follows the normal terms and conditions of the insurer for that class of insurance;
- risk-specific information that identifies the property or liability that is covered;
- any special terms that apply; and
- the expiry date of the cover.

Cover notes are particularly important for motor insurance, where there is a legal requirement to have a minimum level of insurance cover. The cover note acts as evidence of that cover being in force. The **Road Traffic Act 1988** specifies what must be contained in a certificate of motor insurance, and as the cover note incorporates a temporary certificate, it must also contain all the information specified (see below). For motor risks, the time and date must never be backdated on a cover note as, under the Road Traffic Act 1988, this is illegal. Cover notes are still important, even with technological advancements and the platform Navigate (previously the Motor Insurance Database (MID)), as there can be delays in uploading information about what an insurer is covering. For example, while insurers upload details onto Navigate for their policyholders, this is usually done once a day overnight, resulting in a delay of up to 24 hours between

purchase of cover and a policyholder's details appearing on Navigate. Given the penalties for driving without insurance, the existence of cover notes is key even with the use of technology.

Certificates of insurance

For compulsory insurances, it is a legal requirement that a **certificate of insurance** is issued to prove a policy is in force. It is evidence that a contract of insurance exists, and that the policyholder/insured complies with the law. It is issued by the insurer in the name of the insured.

The information to be shown on the certificate is laid down by the relevant statute which makes the certificate compulsory.

Motor insurance

The Road Traffic Act 1988 directs that the following information must be contained in the certificate:

- registration mark of vehicle;
- name of policyholder;
- date of commencement of cover;
- expiry date;
- person or classes of persons entitled to drive;
- limitations as to use; and
- confirmation that cover complies with UK statutory requirements.

It does not show the scope of the policy cover (e.g. comprehensive, third party only etc.) and is usually sent electronically.

Employers' liability insurance

It is compulsory for those who employ people to have insurance against costs they may be liable to pay in the event of the employee being injured during the course of their work.

In the case of employers' liability insurance, the certificate needs to carry the following information:

- Name of policyholder.
- Date of commencement of cover.
- Expiry date.
- Name of insurer.
- Authorised signature on behalf of insurer, i.e. usually a facsimile signature of chief executive.
- Level of cover, as the certificate must show that insurance cover is provided for at least the minimum level required by law. This is currently £5 million including costs, although in practice most insurers provide higher limits, usually double the minimum limit.
- A statement by the insurer declaring that the policy satisfies the relevant legal requirements.

Contract certainty

The Association of British Insurers (ABI) in its summary guide states that 'Contract Certainty is achieved by the complete and final agreement of all terms between the insured and insurer by the time that they enter into the contract, with contract documentation provided promptly thereafter.'

Uncertainty may lead to disputes over what was agreed when the protection started. This may be very important if a customer needs to make a claim against the insurance contract and the terms of the contract are uncertain.

To help avoid disputes from uncertainty, the insurance industry has produced a code of good practice to help

provide *contract certainty* before inception of the policy. The code is not compulsory, however most of the insurance industry has agreed to abide by the code. The code also has service standards for issuing insurance documents in a reasonable time.

The code does not stop the insurance industry reacting quickly to customers' urgent needs for protection. The code sees to it that there is a form of contract agreed when protection starts. There may be a need to agree changes to the exact terms of the contract when both parties have full knowledge. However, 'terms to be agreed' or similar references should not be used. While the Consumer Rights Act 2015 applies to consumers, its provisions are viewed largely as best practice by the FCA and as such insurers will be expected to continue to review their processes against requirements under the Act and subsequent legislation, as part of the FCA's thematic approach to regulation.

Premium payment

Methods of collecting premiums

The payment for an insurance policy is referred to as the premium. This is calculated and due at the start of the policy period. Most general insurance policies are renewable annually, i.e. twelve months after the cover started. Payment will usually be:

- a single upfront payment (by cash, cheque or credit/debit card);
- by credit; or
- in monthly instalments by direct debit.

Credit

As stated in *Methods of collecting premiums* on page 36, the insurance premium will be due to be paid at the start of the policy period. If dealing direct with an insurer then an insured will need to ensure that they have either paid the amount in full or arranged payment via the insurer's instalment facility by the due date. If an insured has arranged their insurance via an intermediary however, then the intermediary may offer some alternative credit facilities as a customer service. The intermediary may accept payment by credit card, arrange finance with a finance house or arrange credit 'in-house'. A fee is usually charged because of the margin charged by credit companies for each transaction. The intermediary is likely to have a credit account facility with the insurer and will, having collected the monies from the insured, arrange for the premium (less commission the intermediary is due) to be paid to the insurer on their account.

Instalments

Most insurers will offer the option to pay in instalments. Insurers will usually charge a fee to reflect the loss of interest from the premium not being paid in full at the start of the policy, and the additional administrative charges incurred in collecting on a monthly basis. It may sometimes appear that there is no additional charge, but this will be reflected in the premium rates. Instalments can be paid by direct debit, whereby monthly amounts are collected automatically from the insured's bank account.

Non-payment of premium

Most insurers will insist on payment of the first premium at the time the policy is taken out or by instalments. Cover is usually for twelve months from the start of the policy (except for some shorter period covers such as travel insurance for a single trip).

After the twelve months the policy is said to be due for renewal, the renewal date being the anniversary of the day on which cover started.

The premium for the renewal of the policy, the renewal premium, is advised by the insurer to the insured by way of a *renewal notice*.

In the event of non-payment of the premium the policy is not renewed and cover lapses.

Insurance premium tax (IPT)

The tax is payable by policyholders but insurers are responsible for collecting the tax and accounting to HMRC. Two broad methods are provided in the relevant legislation for calculation of IPT, but most insurers calculate the tax as a percentage of the written premium.

The current rate of IPT is 12%. This is referred to as the standard rate.

A higher rate of 20% is applicable to travel insurance and engineering inspection service fees charged by some insurers, as well as some insurances sold alongside the purchase of vehicles and electrical appliances.

Reinsurance contracts, life assurance and certain marine policies are not subject to either the standard or higher rate of IPT.

Premiums for risks located outside the UK are also exempt, but they may be liable to similar taxes imposed by other countries.

3

Insurance policies

Structure, form and content

A policy is generally issued in a ***scheduled form***, i.e. the policy wording is pre-printed, often in a booklet, and a schedule is incorporated into the policy. The ***policy schedule*** contains all the variable information concerning the insured and details of the risks insured.

The ABI Statement of General Insurance Practice states that, in respect of policy documents, insurers must continue to develop more clearly worded proposal forms and policy documents. Most policies now strive to use clear, everyday language, and to define any words likely to be unfamiliar to the insured or capable of misrepresentation in any way.

The Consumer Insurance (Disclosure and Representations) Act 2012 further reinforces this need, as not only does it require that all questions are exact and clear enough for consumers to understand, but insurers are also expected to consider the clarity and accessibility of any explanatory material they produce. After all, it is important to consider such material when assessing whether proposers have taken reasonable care when providing information.

The **Insurance Act 2015** addresses the need to ensure that both the insured and insurer, as the two parties to the contract of insurance, are clear about policy terms and

requirements, including remedies when things go wrong, **before** entering into the contract.

The **Consumer Rights Act 2015**, which came into force on 1 October 2015, also seeks to make policies clearer for consumers, particularly regarding their rights and the remedies available to them if things go wrong.

The general rule of interpreting an ambiguous contract term against the party that drew it up gives the insurer a real incentive to be clear in their intentions. This is known as ***contra proferentem***. Its effect is that insurers must be very careful in drawing up policy wordings.

Currently, the core terms of insurance contracts, such as exclusions, cannot be challenged on the grounds of fairness. This default position will remain unchanged under the Consumer Rights Act 2015. However, the Act also says that if a term of a contract is not transparent or prominent, it can be assessed for unfairness. Insurers, therefore need to make sure that the significant terms of insurance contracts with consumers are expressed in plain and intelligible language and have been adequately brought to the insured's attention. If a contract term is deemed unfair it will not be binding, although consumers are still within their rights to rely on a term if they wish to do so.

Heading

Every policy will have a heading which includes the name of the insurer and in some cases, the address and company logo.

Preamble

The preamble (also known as the recital clause) sets the scene for what follows in the policy by referring to the two parties, the insured and the insurer (although not by name), forming the contract in terms of which the insurer undertakes

to indemnify the policyholder (the insured) in accordance with the cover detailed in the policy, in return for a price (the premium).

The preamble also states that the proposal form is part of the basis of the contract and will be incorporated within the policy. This effectively makes the proposal form part of the contract, even though it is not actually reproduced and printed within the policy for all insurance contracts. This has important implications in respect of the **declaration** signed by the insured on the proposal form.

Signature

Below the preamble, or close to it, there will frequently be the pre-printed signature of an official from the company. This dates back to the times when policies were prepared by hand. It is not strictly necessary today and many policy documents omit a signature. In China the insurance company's stamp is used.

Operative clause

The *operative clause*, also known as the **insuring clause**, is the most important section of the policy, and is where the actual cover provided is outlined. There may be just one clause outlining the cover or, as is more common, a number of such clauses (as with household or motor policies), each dealing with a different aspect of the insurance and often containing exceptions that are specific to each individual operative clause.

Each operative clause within the policy begins with words such as, 'The company will...' (in respect of insurance companies) or 'We, Underwriting Members...' (in respect of Lloyd's), and then stating exactly what the insurer or underwriter is promising to do, i.e. setting out the cover under the policy.

Exclusions/exceptions

Be aware

You may hear the terms 'exclusions' and 'exceptions' used interchangeably. For practical purposes they mean the same thing.

All insurance policies contain some general exceptions which apply to the entire contract. These are in addition to specific exceptions that apply to different sections under a scheduled policy.

Conditions

A **condition** is essentially a contractual term that the insured agrees to comply with during the period of cover.

Conditions are either **implied** or **express**.

Express conditions are always stated in the policy.

Implied conditions are implied by common law and practice and do not need to appear in the policy. Examples of these are:

- An insured must act as if uninsured and not use the insurance as an alternative to acting carefully. The insured may be required to advise the appropriate authorities, depending on the circumstances, e.g. the police in the event of damage suffered during a riot, or a serious motor accident.
- The insured must take reasonable action to minimise a loss, e.g. attempt to extinguish a fire (but not if it endangers the insured).
- The insured must not hinder the insurers in their investigation of a claim.

Policy schedule

This is where the policy is made specific to the insured. The variable parts of the policy include details such as:

- insured's name;
- insured's address;
- policy period;
- premium;
- details of the subject matter;
- location of the risk, where applicable;
- sum insured or limit of liability;
- policy number;
- reference to special exclusions, conditions or aspects of cover; and
- operative sections of the policy.

Information and facilities

This may include any, or all, of the following:

- **Definitions:** insurers may define a single word or phrase to embrace the wider wording wherever the term is used. The definition will only apply if the word begins with a capital letter or it may be formatted in bold or italics within the policy.
- **Customer service standards statement:** for example, the response times that a policyholder can expect from the insurer.
- **Complaints procedure:** this may refer to a company's internal procedure and nominated person for complaints handling as a first port of call; if matters are not resolved satisfactorily, reference can be made to the Association of British Insurers and/or the Financial Ombudsman Services. Note that in the event of a complaint, all channels of dispute should be exhausted within the insurer concerned before reference to the Ombudsman; however,

the Ombudsman asks firms to try and resolve complaints within **eight weeks** of the first complaint. If this time has already expired when the client contacts the Ombudsman, the Ombudsman will take the case.

- *Claims information*: this is particularly prevalent with motor insurance, where there may be a 'What to do?' section in the event of a motor accident (this should not be confused with formal policy conditions applicable in respect of claims). There may also be a Freephone claims service.

Exclusions/exceptions

Most general insurance policies will contain two types of exclusion:

- **General** – these apply to all sections of the policy and allow the insurer to deny cover under the policy, regardless of the section concerned.
- **Specific** – these apply to particular parts of the policy. For example, under a household contents policy there may be an exclusion relating to antiques and works of art. This clearly wouldn't be relevant to the buildings section.

Some general exclusions are common to all general insurance policies and are called **market or standard exclusions**.

War and related perils

War is considered a **fundamental risk**. It is generally regarded as being the responsibility of the State: in the UK the Government would normally provide compensation for injury and damage occurring in the UK sustained during war conditions.

A fundamental risk is one that applies to society generally and would normally be considered too serious to be insured

by an insurance company. However, this is not always the case.

Radioactive contamination and explosive nuclear assemblies

This is regarded as another form of fundamental risk. It falls into two categories:

- contamination as a result of a nuclear accident; and
- liability for nuclear installations.

Terrorism

Following major terrorist attacks in London in the early 1990s, commercial property insurers announced that they were no longer prepared to continue to regard such incidents as being covered under the normal fire and explosion perils.

The outcome was an agreement between insurers and the Government as follows:

- Insurers would continue to provide a very limited amount of cover in respect of *terrorism* damage from fire and explosion for industrial and commercial properties in Great Britain, and the Government would be prepared, through **Pool Re** – a new company set up for the arrangement and owned by the most significant participants in the UK commercial property market – to provide a top-up cover which could be purchased via the insurers.
- The premium rates were decided by the Government.

This arrangement survived until shortly after the terrorist attack on the World Trade Center in New York on 11 September 2001.

In July 2002 the insurance industry, via the ABI and the Government, announced a new arrangement. Under this new

scheme, which became effective from January 2003, the following apply:

- All damage as a result of terrorist attacks is excluded by insurers' standard commercial property wordings for risks written in the UK.
- The choice is with the insured if they wish to purchase the additional cover. The main requirement is that if the insured purchases terrorism cover, they do so for all the effective sections covered by the policy. Additionally, terrorism cover must be purchased for all property locations covered by the policy although allowance may be made where the purchase of terrorism cover is a stipulation placed upon an insured by contract, e.g. where a term of a mortgage is that buildings are insured for terrorism.
- Cover was extended (where purchased) to a much wider 'all risks' type cover, including terrorism damage by biological contamination and nuclear contamination.
- The premium rates were no longer decided by Government, but by the individual insurers and Pool Re became a reinsurer of terrorism cover rather than an insurer as before.
- Each individual insurers' maximum liability is 'capped' for each terrorist event and per year. This cap is based on an insurer's market share.
- In Northern Ireland, due to civil commotion and terrorism, compensation is provided by the Government.

Be aware

These exclusions do not apply to private policyholders' cars, homes and property which are not covered by Pool Re, unless the individual is purchasing cover in connection with their business.

Some insurers are now able to offer this cover while some continue to exclude terrorism in its entirety, therefore leaving a potential gap in cover.

Pool Re has introduced a limited write back of cyber cover under terrorism sections for its members. There has also been an amendment to the **Reinsurance (Acts of Terrorism) Act 1993** in the form of the **Counter-Terrorism and Border Security Act 2019**, so that Pool Re can extend its business interruption cover to include losses that are not contingent on physical property damage. This amendment seeks to address a gap in cover identified following the Manchester Arena bombing and the London Bridge attack in 2017.

Be aware

Following the Manchester Arena bombing, you may have heard of Martyn's Law. It is formally known as the **Terrorism (Protection of Premises) Act 2025** and aims to improve security and preparedness for terrorist attacks at public venues and events. While this doesn't impact Pool Re cover directly, it does relate to the overall risk management framework of insureds and potential BI exposures.

It is important to remember that the scope of the cover will follow the member's (insurer's) underlying policy wording.

Recent changes have been made to Pool Re to make terrorism cover more easily available and to decrease the cost of reinsurance for the cedant (the original insurer). Changes include an expanded definition of an SME to include businesses with assets up to £5m and a reduction in the business interruption rating.

Further developments saw Pool Re and the Treasury approve a modernised aggregate catastrophe excess-of-loss

treaty. This has replaced the longstanding structure of the scheme with an updated approach to pricing and risk sharing.

Pollution and/or contamination

This exclusion is standard in all property insurance as property policies cover property only, not the liability of the property owner. Damage to the insured's property is covered if the pollution or contamination results from any peril insured or if pollution/contamination causes an insured peril to occur.

Public liability policies are explicit about the fact that they intend to cover risks from an unexpected, identifiable event, not a gradually operating cause. Gradual pollution can be insured under an environmental impairment policy.

Environmental, social and governance (ESG)

There are ever-increasing expectations around the management of ESG risks. In this context, the environmental arm of ESG could apply to how companies address their own environmental concerns. For insurers it could also relate to those of the companies they insure.

Cyber risks

These risks are ever evolving but insurers offer specialist but limited buy-back cover for cyber risks, for a charge and with a restricted amount of liability in the event of a claim. More specialist insurers continue to offer buy-backs which are bespoke to individual business and may operate without limits, but these are less widely available and carry higher premiums.

Marine policies

Standard to all property insurance policies, its effect is to exclude material damage cover for property also covered by a marine policy. If the marine policy cover is insufficient, however, the property policy will respond for the excess amount.

Contractual liability

This excludes liability involved with claims arising from an agreement entered into by the insured and extends the insured's responsibilities beyond the common law position. The exclusion makes it clear that what is not covered is liability which exists only because of the agreement made. It is standard in all motor and liability policies.

Sonic bangs

Standard to all property insurance policies, damage arising from pressure waves from aircraft or other aerial devices travelling at sonic or supersonic speeds is excluded.

Conditions

Duties of the insured

This condition simply states that the insured must observe and fulfil all the terms of the policy.

Alteration

This extends the duty of disclosure to a continuing duty, and requires the insured to notify the insurer of any changes that increase the risk.

Action by the insured in the event of a claim

This varies from one class of insurance to another, but includes reference to how soon a claim needs to be notified and usually the method of notification.

Fraud

This condition states that the insured will lose any benefit under the policy if:

- the claim is in any way fraudulent (including being artificially inflated);
- any fraudulent means or devices are used to obtain a benefit under the policy; or
- any destruction or damage is caused by the wilful act of the insured or anyone acting on the insured's behalf.

Reasonable precautions

This formalises the insured's duty to take reasonable care and precautions to minimise the risk of loss or damage or of incurring liability; an insured should not treat insurance cover as an excuse for carelessness or inactivity.

Contribution

Contribution is the right of an insurer to call upon other insurers similarly, but not necessarily equally, liable to the same insured in order to share the claims cost. The condition modifies the principle by limiting insurers' liability to their share of the loss when other policies also exist. The insured is, therefore, obliged to claim proportionately from each insurer. For example, a holidaymaker may take out a travel policy which covers personal possessions. Certain items such as camera equipment will usually also be covered under the all risks section of a household contents policy. If the

camera was lost or stolen while on holiday, the policyholder would be covered under the two policies. The principle of indemnity is to place the insured in the same position they were in before the loss occurred. In this case the indemnity is to replace one camera. The insurers would then share the claim in agreed proportions.

Subrogation

Subrogation is the right of the insurer to take over the insured's rights, following payment of a claim, in order to recover the payment (or part of it) from a third party wholly or partly responsible for the loss. Simply put, the insurer can 'stand in the shoes' of the insured.

The insurer of Radhesh Singh's Clothing factory would indemnify Mr Singh in the event of fire damage at the premises. If the fire damage occurred as a result of the negligent actions of the factory's neighbour, Mr Arjun Shah, the insurers may attempt to recover damages from Mr Shah. Any court action would be carried out in the name of the insured not the insurer.

The subrogation condition modifies the common law position so that an insurer is able to exercise its subrogation rights **before** a payment is made.

Average

This condition has the effect of reducing claims payments under property insurance policies in proportion to any underinsurance.

It can be expressed in the following equation:

$$\frac{\text{value insured under the policy}}{\text{value at risk}} \times \text{the loss}$$

If the policyholder insured their buildings for £200,000, but they were valued at £250,000, and if then the policyholder suffered a £50,000 loss, they would only receive £40,000, i.e. £200,000 over £250,000 × £50,000.

This is normally calculated before the application of any excess, but individual insurers may vary their approach.

Arbitration

This clause is intended to deal with **quantum** (amount) disputes in settlement of claims. Not all policies will contain this clause and some insurers rely on other methods to resolve these disputes, e.g. Financial Ombudsman Services. This will be dealt with in greater detail in *Cancellation* on page 62.

Warranties, conditions and representations

Warranties

Warranties are promises made by the insured relating to facts or performance concerning the risk. It is an undertaking by the insured that:

- something will or will not be done; and/or
- a certain fact exists or does not exist.

A warranty may relate to past or present facts (i.e. a promise that something is or was so). Or, it may be a continuing

warranty in which the insured promises that a state of affairs will continue to exist or they will continue to do something.

Warranties are used to control the aspects of a risk insurers believe are the most important. As a result, they have the most significant impact on an insured or the subject matter if breached.

Warranties can be implied or express; express warranties are written and will be incorporated into the policy.

Consumer contracts

The Consumer Insurance (Disclosure and Representations) Act 2012 amended the law in relation to consumer insurance contracts. One of the main impacts of the legislation was to remove the ability of insurers to rely on basis of contract clauses to create warranties based on representations made by a consumer.

An insurer can still warrant that a consumer does or does not do something in relation to the subject matter being insured (e.g. fitting of an alarm to a motor vehicle), but their ability to rely on the breach of a warranty is restricted.

As with the position prior to the Act, they must give consideration to the materiality of any breach (i.e. the connection between the breach by the insured and the resulting loss).

Non-consumer contracts

Under the Insurance Act 2015, a breach of warranty is suspensive. This means that it discharges the insurer from any liability under the policy from the date of the breach. However, being suspensive, if the insured repaired the breach at a later date, the insurer's liability would start again from the date the breach was repaired. The insurer has the option of waiving any breach. This has the effect of ignoring

the breach and continuing the insurance as if the breach had never occurred. However, should the insurer choose to waive the breach, they have no recourse to rely on it if they subsequently became aware of losses. They can though rely on a future breach should one occur.

Depending on the nature of the warranty and the breach, an insurer might be discharged from its liability from inception (*ab initio*). However, the insurer must consider whether the breach is material to a loss that has occurred, as well as whether reasonable attempts to comply with the warranty have been made.

Conditions

Policy conditions are terms, which although they are not warranties, impose important obligations upon the insured.

The effect of a breach of condition is very serious and will vary depending on which of the following categories the condition falls in:

Conditions precedent to the contract must be fulfilled **prior** to the formation of the contract itself. The implied conditions (e.g. insurable interest) fall into this category. Non-compliance raises doubts as to the entire contract's validity.

Conditions subsequent to the contract must be complied with once the contract is in force, i.e. notification of changes to the risk.

Conditions precedent to liability must be complied with for there to be a valid claim, e.g. the claims conditions saying that a claim should be notified promptly. If not complied with, insurers may avoid liability for a particular loss, but need not repudiate the contract as a whole.

As with warranties, under the Insurance Act 2015 a breach of condition is suspensive.

Representations

Representations are written or oral statements made during the negotiations for a contract. Some may contain material information and others may not.

Historically, representations made by consumers and non-consumers could be converted into warranties in the policy by using a 'basis of contract' clause. This had the effect of allowing an insurer to discharge themselves of any liability in the event of a claim, regardless of whether the representation was material to the loss.

Such clauses have historically been viewed as 'catch-all's' and disapproved of in law. The reason for the disapproval is clear – such a method can effectively remove consideration from the insurer. The proposer provides consideration in the payment of the policy premium; the insurer, though, does not have to provide consideration by way of a warranty that, if breached, would allow them to retain the premium but repudiate a loss.

Section 6 of the Consumer Insurance (Disclosure and Representations) Act 2012 has abolished basis of contract clauses.

Section 9 of the Insurance Act 2015 has also abolished basis of contract clauses.

This is a much better position for insurers and for customers, as it ensures that both sides are aware of their rights and responsibilities **before** entering into the insurance contract. This is important as it should lead to fewer disputes.

Summary and comparison

Warranties	• Must be strictly and literally complied with. • Give the insurer the right to repudiate (reject) any claim where the breach is relevant to the loss or damage. • Insurers must consider materiality of any breach, i.e. that the breach is related to the loss to a large extent. • Must be written into the policy, except where implied. • Following implementation of the Insurance Act 2015, breaches are now suspensive.
Conditions	• Some implied conditions are so fundamental that they affect the whole validity of the contract in the event of non-compliance. • Breach of a condition subsequent to the contract (i.e. after the contract condition becomes applicable to the insured) may allow the insurer to avoid cover under the policy. • Conditions precedent to liability give the insurer the right to repudiate a claim but not to repudiate the contract as a whole.
Representations	• Need to be made fully and accurately. • Do not normally appear in the policy. • Following the implementation of the Insurance Act 2015, defined legal recourses are available to the insurer in the event of false representations, depending on whether deliberate or reckless or neither deliberate nor reckless.

Excesses, deductibles and franchises

Excesses

An **excess** is the first amount of each and every claim for which the insured is responsible. Theoretically, the insured is their own insurer for the value of the excess. They may be:

- **compulsory**: imposed on the insured by the insurer; or
- **voluntary**: being accepted by the insured in return for a premium discount.

Deductibles

A **deductible** is, essentially, a **very large excess**. This is increasingly prevalent with commercial insurances and could be found where, for example, a large industrial company accepts the risk for fire damage up to £50,000, and is essentially its own insurer for claims under this amount.

Franchises

A **franchise** is a **fixed amount** or **period** that acts as a threshold to determine whether claims are payable. Once the **amount** or **period** is exceeded, the claim is payable in **full**: nothing is deducted. If it is not exceeded, however, nothing is payable.

4

Renewals and cancellation

Renewals

The **renewal** date is an important date as it allows reconsideration of the insurance by both the insurer and policyholder. It allows the insurer to review the terms, conditions and premium for the risk, and then for the policyholder to decide whether they want to renew the insurance in the light of this. There is usually no obligation on either party to renew.

Another example would be where a charity is set up to administer a short-term project or an event and wishes to insure its property and liability.

Why are insurers keen to encourage renewal of policies?

The reasons are twofold:

Statistics	If the client base remains stable, statistical information about the portfolio will be more accurate.
Cost	Policy renewal is a lot cheaper than acquiring new business: think of the marketing costs involved.

Insurers now rely on standard, automated procedures which involve sending a computer generated *renewal notice* to the insured before their contract expires.

For some insurances (for example, compulsory motor insurance), insurers may also automatically renew policies where customers have a direct debit arrangement in place (known as *auto-renewal*). They will advise new customers of this and argue that the benefit to the customer is to ensure continuous cover for a compulsory insurance. This is because it is not uncommon for policyholders to forget to renew. The FCA specifies that this process must be communicated clearly to the customer.

You may have encountered ICOBS in your previous studies. It also governs the area of renewals. **ICOBS rule 6.1.5R** reads:

A firm must take reasonable steps to ensure a customer is given appropriate information about a policy in good time and in a comprehensible form so that the customer can make an informed decision about the arrangements proposed.

In April 2017, the FCA introduced new regulatory rules for transparency which affect personal insurances. These require insurers and intermediaries selling retail general insurance products to:

- disclose last year's premium on renewal notices (accounting for mid-term adjustments where relevant);
- include text to encourage consumers to check their cover and shop around for the best deal at each renewal; and
- identify consumers who have renewed with them four consecutive times, and give these consumers an additional prescribed message encouraging them to shop around.

Under the **Consumer Insurance (Disclosure and Representations) Act 2012**, the insurer is required to take

better care in ensuring that consumers are aware of the material information on which the contract is based. This is because most contracts are annual ones; renewal of a policy is actually entering into another contract between the insurer and the insured.

As a result, the insurer needs to remind the consumer of the questions and answers provided in the proposal form at the inception of the original policy. They already do this post-inception of the insurance contract, through statement of facts, which detail all questions asked by the insurer and all answers provided by the customer. However, at renewal insurers must now draw specific attention to these questions and answers and ensure that they are still accurate.

Another example of this scrutiny is the **Consumer Rights Act 2015**, which came into force from 1 October 2015. It affects insurance contracts and focuses on areas such as fair notice to customers and avoiding unfair contract terms. Insurers already work to much of this as best practice laid down by the FCA, but this legislation specifically requires the provision of **transparent** and **prominent** notices to customers, including renewal notices.

Positive customer outcomes

There should also be consideration of the ethical behaviours that surround delivering positive customer outcomes. Customers need to be confident that they are dealing with people and companies who are putting their interests first.

Consumer Duty

The Consumer Duty came into force on 31 July 2023 for new and existing products and services. The aim of the Duty is to set higher and clearer standards of consumer protection across the financial services markets. There are new rules requiring firms to act to deliver good outcomes for retail customers.

These outcomes relate to:

- products and services;
- price and value;
- consumer understanding; and
- consumer support.

Firms must be able to evidence that these outcomes are being met. The Duty has already resulted in positive impacts for consumers, including cash savings, improved client outcomes and transparency, as well as more proactive and simplified communications, to name a few.

Cancellation

The *cancellation* condition in an insurance policy defines how an insurance contract can be cancelled during its currency, generally by the insurer. The insurer usually has to send at least seven days' written notice of cancellation by recorded delivery to the insured's last known address. It is more common to see cancellation conditions requiring longer notice periods of up to 30 days, or restricting the circumstances in which insurers can cancel.

The insurer also undertakes to give a proportionate return of the premium for the unexpired period. This is, however, a rarely invoked right: insurers would not cancel mid-term simply because of a bad claims experience.

An insurer's ability to invoke the cancellation condition is more tightly controlled under the Consumer Insurance (Disclosure and Representations) Act 2012 and the **Insurance Act 2015**.

The **ICOBs 7.1.1R** gives consumers of a general insurance contract a 14-day period from the date of inception or renewal to cancel their policy; this is, in effect, a cooling off period (essentially, the customer has changed their mind

about the policy). In order to be valid, notice of cancellation must be provided by the consumer before the relevant deadline. It must be on paper or another durable medium.

An insured may also have the right to cancel mid-term, but in this case, a **short-period premium** may be charged, giving a less than proportionate refund.

It should be noted that insurers do not always charge short-period premiums; it depends on circumstances. The return of premium is referred to as applying 'pro-rata'. The Consumer Rights Act 2015 introduces new protections for consumers around cancellation of contracts. While an insurer can still charge administration fees as part of cancellation, these cannot be disproportionately high.

The Consumer Rights Act 2015 also impacts policies which are sold as add-ons or as ancillary to the main product being purchased, meaning that if the primary policy is cancelled, the ancillary policy must also be cancelled at the same time. An example of this would be a consumer purchasing a private motor policy, and being cross-sold legal expenses or breakdown cover at the point of sale. Not only does the consumer have to actively affirm their purchase of the ancillary legal expenses policy (e.g. tick a check box rather than it being ticked assumptively), but the insurer must also cancel the legal expenses policy at the same time as any cancellation of the private motor policy.

In some instances, if the insured cancels the policy, no refund may be given. This is usually where there has been a claim during the current period of the policy (note, this cannot be done if there have been claims in a different period from the one being cancelled), as the insurer has completed their side of the contract, i.e. provided consideration under the policy.

5

Insurance products: personal insurances

Motor insurance

This is the most significant compulsory insurance in the UK: it is illegal to drive or be in charge of a vehicle on a public road, as defined in the Road Traffic Act 1988, unless an insurance policy is in force in respect of legal liability for injury to others or damage to their property.

In the **Road Traffic Act 1988**, 'road' (in relation to England and Wales) is defined as meaning:

...any highway and any other road to which the public has access...

Private motor insurance

There are four different levels of cover available. The lowest level is the narrowest form of cover, and extra areas of cover can be added for each level at an additional premium:

Road Traffic Act only

Road Traffic Act only is the minimum cover required to comply with the Road Traffic Act 1988 and provides for unlimited indemnity in respect of bodily injury or death to third

parties, a £1.2m limit for loss of or damage to third party property, claimants' costs and expenses, and emergency medical treatment and hospital charges arising out of the vehicle use.

Third party only

Third party only provides, in addition to the above:

- a £20m limit in respect of third party property damage cover;
- indemnity to the insured's employer if the policy covers business use;
- indemnity for the liability of passengers; and
- legal costs to defend a claim.

Third party, fire and theft

Third party, fire and theft includes, in addition to the above, the cost of repair or compensation of the insured if the vehicle is stolen, damaged during theft or attempted theft, and damage by fire, lightning or explosion.

Comprehensive

Comprehensive is the widest possible protection and includes other accidental and malicious damage to the insured vehicle.

Exclusions include:

- wear and tear;
- depreciation, i.e. reduction in the value of the vehicle following an accident;
- loss of use, i.e. costs for alternative transport while the vehicle is off the road;
- mechanical and electrical failure; and

- tyre damage from punctures or blow-outs (though any resultant damage would be covered).

There are also a number of extensions in cover that are usually included without additional cost. These include:

- personal accident;
- medical expenses;
- personal effects; and
- usually a 'drive other vehicles' extension by the insured only, which is restricted to third party only cover or even Road Traffic Act only cover.

The cover under personal accident, medical expenses and personal effects is very limited and should not be likened to stand alone policies of the same nature. Typically, cover will automatically include the driving-other-cars extension but this is subject to other policy restrictions (e.g. age of driver) and will usually only provide cover for the minimum that insurer offers (e.g. third party only).

Optional extensions

Optional extensions are typically available, usually for an additional premium (some may be automatically included), for example:

- breakage of glass (i.e. for a non-comprehensive policy);
- personal belongings and clothing (in addition to standard cover);
- provision of a courtesy car so while the policyholder's car is in for repair following an accident they are provided with a replacement vehicle, usually from the insurer's recommended repairer;
- extended personal accident benefits;
- foreign use cover beyond the minimum EU cover automatically provided;
- caravans and trailers;

- breakdown cover; and
- legal expenses.

This list is **not** exhaustive.

Exclusions

There will be general and market *exclusions* in addition to the specific exclusions, such as contractual liability, war risks, use other than as specified, riot and civil commotion and sonic bangs.

It should be pointed out that cover is subject to the driver having a licence to drive the vehicle, or having had a licence and not being disqualified from holding one (which covers the situation where a licence has not been renewed by oversight, for example).

Private motor cycle insurance

The policy format is the same as that used in private car insurance and the same levels of cover are available with the following small differences:

- there is no cover for theft of accessories or spare parts unless the cycle is also stolen;
- some policies do not provide indemnity to employers; and
- there is usually no personal accident, medical expenses or personal effects cover.

There are extensions to cover available for additional premium, such as:

- cover for trailers; and
- riding other cycles extension.

Personal accident cover is available, though it tends to be restricted in scope.

Commercial vehicles

The main types are:

- goods-carrying vehicles (from small vans to articulated lorries and those with a connected trailer);
- agricultural and forestry vehicles (such as tractors);
- passenger-carrying vehicles (buses, coaches and minibuses) also usually for hire or reward but not always, e.g. if a company uses a minibus to move their employees; and
- special construction vehicles or 'special types' (e.g. ambulances, cranes, forklift trucks, earth movers).

There is usually a standard policy wording, which is then modified depending on the vehicle insured. The range of cover is the same as in private motor insurance; the cover, however, excludes the following:

- driving other cars extension;
- personal accident; and
- personal effects.

The **third party liability** section provides unlimited indemnity for death or bodily injury to third parties, with a limit of, typically, between £1.2m and £5m for third party property damage, compared to the £20m limit for private cars. This enables the underwriter to limit the level of its liability on a case-by-case basis, depending on the nature of vehicle insured and goods carried.

There are also the following considerations:

- **Loading/unloading:** cover also applies here. An example would be dropping goods carried on the bonnet of a car parked near the vehicle while unloading.
- **Indemnity to driver:** usually anyone may drive on the insured's order/with their permission. The vehicle may be owned by a company, yet in the event of an accident a

legal action or claim for damages may be brought against the driver, thus it is important that the policy covers both the company and the driver to avoid any potential gaps.

- **Indemnity to user:** the insured may allow others to use the vehicle for social, domestic or pleasure purposes. This allows drivers to take the vehicle home in the evening which is far more practical in many circumstances. It should also be noted that there can be a difference between 'driving' the vehicle and 'using' the vehicle. An example here would be an employed chauffeur. The chauffeur is clearly the driver, though they are being instructed by the employer, who would be the user. The detail and impact are outside the remit of this course, but it should be remembered that there can be a difference.
- **Indemnity to passengers:** indemnity for their acts of negligence is covered. For example, if a passenger opened the car door into the path of a passing cyclist, injuring them, the cyclist might bring a claim against the driver or the passenger, so again it is important both are covered.
- **Legal costs.**

There is a fairly extensive range of *optional extensions* available at an additional premium or some insurers may include some of these automatically.

Mention should also be made here of **fleet insurance**, which is a group of vehicles under single ownership, covered under one insurance. A minimum number of vehicles is required before insurers will consider rating vehicles as a fleet.

The majority of insurers require ten or more vehicles to be covered before fleet rating is applied, though some will offer 'mini-fleet' policies for over five vehicles if the premium is high.

The purpose of fleet insurance is essentially twofold:

1. To enable rating to be carried out to take account of the individual experience of the particular policyholder. This requires a certain minimum number of vehicles to be practical, usually ten, although on larger fleets the statistical basis becomes more genuinely reflective of account performance. These can cover hundreds or thousands of vehicles.
2. To reduce administration for the policyholder and insurer by having a single multi-vehicle policy, the premium for which can be adjusted at agreed periods, instead of doing so at times of individual changes.

Health insurance

Health insurance can be broken down as follows:

- Personal accident which provides payments in the event of accidental death or bodily injury.
- Sickness cover which provides payment for disablement due to sickness.
- Medical expenses, which provides cover for individuals who seek medical treatment outside the NHS when they are ill.

A personal accident and sickness policy is a **benefit** policy, i.e. a contract to pay a sum of money in the event of a defined event occurring, whether or not the insured sustains a direct financial loss.

Personal accident and sickness policies can be **private**, i.e. taken out by the policyholder in respect of their own welfare, or **group** where a number of persons are covered under one policy. Group policies are usually taken out by employers to protect against financial loss as a result of illness or injury to a member of staff.

Personal accident benefits

The main benefit is a lump sum payable (**capital benefit**) in the event of:

- **Death.**
- **Loss of limbs, eyesight, speech, hearing** – the insured person must prove that the loss is permanent and total. Most insurers require that the loss occurs within an agreed period, i.e. 52 or 104 weeks from the date of the original injury. The lump sum payable is made in addition to any weekly benefit paid up to the time of the loss.
- **Permanent total disablement (PTD)** – permanent disability can be defined as a condition where recovery is not anticipated such as certain brain injuries or paralysis. As above, most insurers require that the PTD occurs within an agreed period, i.e. 52 or 104 weeks of the accident date.
- Permanent injuries that do not necessarily prevent the injured person returning to a relatively normal lifestyle, e.g. loss of fingers or toes, can be classed as **permanent partial disablement (PPD)**. Insurers utilise a pre-set scale of benefits known as the **continental scale** to calculate lump sum payments. For instance, the loss of one finger may generate a lump sum of 20% of the agreed lump sum for death and PTD.
- An injury that while serious is unlikely to result in PTD is classed as a **temporary total disablement (TTD)**. A weekly benefit is payable for each week of disability up to an agreed limit, usually 52 or 104 weeks. Most insurers incorporate a franchise before dealing with a claim, usually between 7, 14 or 21 days.
- An injury that results in an insured person being unable to perform a substantial part of their usual job is classed as **temporary partial disablement (TPD)**. These instances cater for those persons that while unable to perform their normal job can still perform some sort of role at work. The

usual weekly benefits payable are reduced to an agreed percentage, e.g. 30%, to reflect the fact that the person can still perform certain tasks.

Sickness cover

Sickness or illness cover is usually offered as an extension to the personal accident policy and provides weekly benefits for persons unable to perform any part of their normal job (i.e. TTD). A franchise almost always applied.

Most personal accident and sickness policies can be extended to include such covers as:

- Disappearance – in which the lump sum applicable for death is paid if an insured person disappears for longer than an agreed period, e.g. six months.
- Medical treatment to speed up the period of convalescence (recuperating).
- Hospital benefits to help pay for family travel costs etc. to hospitals, usually £25–£50 per 24-hour period of treatment.

There are standard exclusions under personal accident and sickness policies, for example:

- the insured being under the influence of or affected by alcohol;
- self-inflicted injury, disease or suicide;
- childbirth, pregnancy, venereal disease or HIV;
- pre-existing illness or infirmity (unless notified to and cover agreed by the insurer); and
- accidents while participating in motor cycling, racing of any kind (except on foot), winter sports and mountaineering, although some of these can be 'bought back' by payment of an additional premium.

Medical expenses

This insurance provides cover for those who seek private medical treatment outside the NHS. This enables them to choose the hospital and consultant used and, in many cases, the timing of the treatment.

Typical in-patient cover includes:

- **hospital charges** incurred in surgery, theatre fees, consultations, nursing and aftercare costs;
- **specialists' fees** such as specialist consultations and surgeons' fees; and
- **additional costs** such as ambulance fees.

Exclusions include:

- long-term residential care; and
- pre-existing conditions (where treatment has been administered within five years prior to the date of cover commencing).

Household insurance

Buildings insurance

This includes not only the main structure but also garages, sheds, greenhouses, outbuildings, swimming pools, tennis courts, garden paths. Anything you would normally leave behind on moving from the house is part of the building, e.g. double glazing, fitted kitchens etc. The cover generally available is as follows:

- **Fire, lightning, explosion and earthquake.**
- **Riot, civil commotion, strikes, labour or political disturbances, malicious damage or vandalism.** Cover usually excludes loss or damage if the building is

unoccupied for more than 30 or 60 days. Malicious damage is usually subject to an excess.

- **Storm or flood.** Cover under this heading specifically excludes damage caused by frost, subsidence, ground heave or landslip and damage to fences or hedges, and is usually subject to an excess.
- **Falling trees or branches.** Walls, gates, fences or hedges will be excluded.
- **Escape of water.** This covers the bursting (for example, as a result of freezing) or overflowing of water tanks, apparatus or pipes, and includes any fixed domestic equipment. Cover excludes damage while the building is unfurnished or unoccupied for more than a certain period (30 or 60 days) and an excess is sometimes imposed, although this may be removed subject to an additional premium.
- **Escape of oil.** Damage caused by escape of oil from any fixed oil-fired heating system is covered and an unfurnished/unoccupied exclusion applies (30 or 60 days).
- **Theft or attempted theft.** Cover is usually excluded while the premises are left unfurnished or unoccupied for more than 30 or 60 days. There is no definition or other restriction on the use of the term 'theft', so that insurers cover theft as defined in the Theft Act 1968. The Act states that a person is guilty of theft if they dishonestly appropriate property belonging to another with the intention of permanently depriving the owner of it.
- **Impact.** Cover is in respect of impact or collision with aircraft or other aerial devices, or articles dropped from them, road vehicles, or animals. There may be an excess imposed for the insured's or their family's vehicles or animals. Damage caused by pets is usually excluded.

- **Subsidence, ground heave or landslip.** Various exclusions will apply together with a large excess in the region of £1,000.
 - **Subsidence** refers to the downward movement of land on which buildings stand, usually because of changes in the ground's moisture.
 - **Ground heave** is when the ground swells and heaves after the moisture content of the soil increases.
 - **Landslip** is the falling away of land, for example, after prolonged heavy rain.
- **Breakage or collapse of television or radio receiving aerials, aerial fittings and masts.** This covers damage to the building caused by the collapse of the aerials, but not damage to the aerial itself which is usually covered under the contents section.
- **Accidental damage to drains, pipes, cables or underground pipes.** Covers accidental damage to water, oil, gas, sewage and drain pipes, underground telephone, television and electricity cables serving the building.
- **Accidental breakage of glass and sanitary fixtures.** Covers accidental breakage of fixed glass in windows, doors, fanlights and skylights or greenhouses, conservatories and verandas forming part of the building. It also covers accidental breakage of fixed wash basins, cisterns, baths and other sanitary fittings. The unfurnished/unoccupied exclusion applies.
- **Legal fees, architects' and surveyors' fees, cost of debris removal.** Covers **reasonable** legal fees and architects' and surveyors' fees necessarily incurred in the reinstatement of the building following loss or damage. The costs of demolition or shoring up the building and debris removal are also covered. Cover excludes any costs involved in preparing the insured's claim.
- **Loss of rent.** This provides cover in respect of ground rent (amounts payable by a leaseholder to the owner of

the freehold) for a maximum period of two years and loss of rent for any part of the premises not occupied by the insured which has become uninhabitable. It also covers the reasonable cost of alternative but similar accommodation while the premises are uninhabitable as a result of an insured peril. A limit of 10%–15% of the buildings sum insured applies.

- **Accidental damage** Usually as an optional extension (this would include, for example, damage caused by putting your foot through the floor of the loft into the bedroom below, or damage caused during DIY such as putting a nail through a water pipe).

Contents insurance

This generally means insurance for household goods and personal effects of every description, belonging to the insured or a family member living in the property. It includes cash and stamps (not part of a collection) up to £50–£100, and any fixtures and fittings belonging to the insured.

The risks covered are essentially the same as for the buildings cover but with the following differences:

- theft, or attempted theft, of cash, currency, bank notes and stamps may be excluded; if it does not involve forcible and violent entry or exit;
- theft, or attempted theft, while the building is lent, let or sub-let in whole or in part may be excluded if it does not involve forcible and violent entry or exit;
- accidental damage cover, certain contents are excluded, e.g. clothing, money and stamps, plants.

There are usually limits on single articles of value (e.g. 5% of total sum insured) and a valuable limit (e.g. one-third of total sum insured). Valuable items, usually those in excess of £5,000, are generally specified under the policy.

The following extensions to cover are usually included automatically:

- **Temporary removal.** The policy is automatically extended to cover the contents while temporarily removed but remaining in the British Isles. However, the risk of storm and flood concerning property in transit or on the person is excluded. Theft is only covered:
 - at any bank, safe deposit or occupied private dwelling;
 - in any building where the insured or a family member is residing, or is employed or carries out business;
 - in the course of removal to or from any bank or safe deposit while in the insured's or their family's charge.
- **Clothing and personal goods of domestic employees.** Cash, currency, bank notes and stamps are excluded.
- **Accidental breakage of mirrors and glass or furniture.**
- **Loss of rent.** Cover is extended to include loss of rent and reasonable additional expenses incurred for alternative accommodation in the event of the premises becoming uninhabitable. Cover is usually limited to, say, 10%–20% of the contents sum insured.

Typical exclusions may be as follows:

- property more specifically insured elsewhere;
- medals and coins, unless specifically insured;
- motor vehicles; and
- livestock (other than horses).

All household policies also cover legal liability for accidental injury or accidental damage to material property, usually with a limit of at least £1m per claim (although increasingly insurers offer higher limits as standard) as part of the basic cover:

Optional extensions

The most common extensions apart from those already discussed in relation to the specific sections of buildings and contents are as follows.

‘All risks’

Such cover is available for personal possessions regularly taken outside the property. Usually such cover is only available in conjunction with contents cover. Most insurers include a separate sum insured for unspecified and specified items.

Money and credit cards

The money extension provides a form of ‘all risks’ cover much wider than that included under the contents section. Cover relates to accidental loss of money. ‘Money’ usually covers cash, cheques, postal orders, bankers’ drafts and postage stamps/certificates, premium bonds, lunch vouchers, gift vouchers, pre-loaded cash cards, phone cards and travel tickets. A limit of indemnity of between £200–£300 applies, with an excess often around £50. Specific exclusions may apply, including:

- shortages due to error/omission;
- losses not reported to the police within 24 hours.

The credit card extension provides cover in respect of financial loss following loss or theft of a card and its subsequent misuse. Credit cards usually include debit and cash cards as well as credit cards.

Bicycles

Cover is for pedal cycles and accessories on an ‘all risks’ basis. There may be a separate sum insured per cycle or, more usually, a limit per cycle of between £100 and £500

for all cycles owned by the insured or family members. An excess of, say, £25–£50 is typical.

Specific exclusions are as follows:

- loss or damage to parts or accessories;
- use for racing, pacemaking or trials;
- theft while unattended, unless secured.

Freezer contents

Cover is in respect of deterioration of freezer contents due to a change in temperature or contamination as a result of accidental escape of refrigerant or refrigerant fumes. Some insurers set a limit of indemnity of, say, £1,000.

Examples of specific exclusions are as follows:

- fire, lightning or explosion damage (as such cover is provided by the basic policy);
- deliberate restriction of supply by the supplying authority;
- wilful or deliberate act of the insured, such as turning off the supply at the mains;
- damage after the freezer has reached, say, 15 years.

Caravans

Most insurers provide cover under three sections:

- **Caravan and equipment.** Cover is in respect of 'all risks' of accidental loss of or damage to the caravan, its fixtures and fittings.
- **Clothing and personal effects.** This provides 'all risks' cover while the property is in the caravan, awning or towing vehicle.
- **Liability.** This covers legal liability for bodily injury or damage to property caused by or in connection with the caravan up to a limit of indemnity of, say, £1m.

Small craft

Although definitions vary, small craft are defined as vessels not exceeding 23 feet (7 metres) overall and with design speeds not exceeding 17 knots (20mph). Cover is usually provided under four sections, namely:

- accidental loss or damage to craft, machinery and equipment;
- personal effects;
- salvage charges;
- liability to third parties and passengers: with a limit of indemnity of, say, £1m.

Sports equipment

Cover is for accidental loss of or damage to sports equipment and specialist sports clothing owned by any member of the insured household. Cover usually applies anywhere in the British Isles and for a limited period (say, 60 days) worldwide in any one period of insurance.

Personal accident, hospital cash benefit and creditor insurance

Cover is available against the risk of personal accident and/or sickness, redundancy or unemployment for the insured and their family. Cover is also available against the inability to continue credit instalment payments in the event of redundancy or unemployment (limited to, say, 24 months, excluding the first month of any period).

Domestic animals

Cover is available for horses, ponies, domestic cats and dogs. Please see below for a more detailed breakdown:

- **Horses and ponies.** Cover includes death from accident, sickness or disease, economic slaughter and loss by theft or straying. Cover may also include temporary incapacity, veterinary fees, saddles, bridles or other riding tack, third party liability, personal accident to the rider and accidental damage to the horsebox trailer.
- **Cats and dogs.** Cover includes veterinary fees, accidental death, death from illness, loss by theft, kennel fees while the owner is hospitalised, advertising and reward, third party liability and holiday cancellation following emergency surgery to the pet.

Legal expenses

The legal expenses extension provides cover for the following costs:

- **Recovery costs:** for legal action taken to enforce the legal rights of the insured against third parties.
- **Civil defence costs:** for the defence of certain types of civil claims not covered by other forms of insurance.
- **Prosecution defence costs:** for the defence of certain criminal charges which may arise from unwitting acts of the insured.
- **Employment dispute costs.**

The limit of liability is usually up to £50,000 for incurred costs and expenses.

It is important here to distinguish between legal expenses as a section of cover offered under most household insurance policies, and add-ons which are often cross-sold to customers at point of sale when obtaining cover for other classes of insurance (e.g. private motor).

Flood Re

Approximately 6.3 million properties in England are considered to be at significant risk of flooding. In 2008, following extensive flooding across the UK in the summer of 2007, insurers subscribed to the **ABI Revised Statement of Principles on the Provision of Flood Insurance**, which was agreed with the Government.

This agreement was due to end in June 2013; however, it was extended until a new pool could be set up to cover the cost of flood insurance for homes.

Following the **Water Act 2014** and the **Flood Re Reinsurance (Scheme and Scheme Administrator Designation) Regulations 2015**, Flood Re was created as a non-profit fund, similar to Pool Re which was set up for terrorism following IRA bombings in the 1990s.

Flood Re is a reinsurance company owned and managed by insurers, funded by levies on member insurers. The total annual levy is £160 million and the individual insurer levy is based on the insurer's share of the home insurance market. The cost of this levy is passed on to home insurance policyholders with those at the highest risk of flood contributing the most. To ensure affordability, the individual cost that a high-risk policyholder will pay is based on the council tax band for their property, and the charges per council tax band are set out in legislation. The aim is to ensure that properties at significant risk of flood can still benefit from access to affordable flood cover without punitive excesses and/or barriers to indemnity.

Flood Re only covers eligible residential properties, mainly homes. It will **not** cover:

- businesses (including SMEs); or
- properties built after 1 January 2009.

Travel insurance

Most travel policies cover the following:

- Personal accident benefits: usually £10,000–£25,000 for death, loss of eyes/limbs, or permanent total disablement. Hazardous activities are excluded but can be included at an additional premium.
- Medical and associated expenses: usually up to £1m.
- Loss of deposits, i.e. if the holiday is cancelled due to necessary and unavoidable holiday cancellation.
- Baggage, personal effects and money.
- Personal liability.
- Delayed baggage.
- Hospital cash benefits.
- Travel interruption.
- Travel delay.

In addition to the 'standard' cover, the following optional extensions are usually available:

- Failure of tour organiser.
- Lack of services or amenities.
- Loss of passport.
- Legal expenses.

There are general exclusions, such as pregnancy and childbirth, physical or mental disability, suicide, confiscated luggage and damage to fragile objects.

Extended warranties

This insurance applies to buyers of mechanical and electrical goods. Normally, when you buy something like a new car or television, it comes with a warranty, which is a guarantee that provides for free repairs if the item needs repairing within a certain period of time. The insurance extends this period.

These policies, issued by insurers and some large authorised retailers, cover free repairs following electrical and mechanical defects.

6

Insurance products: commercial insurances

Property insurance

'All risks' insurance

While the standard fire policy lists what is and is not insured, demand arose for a policy which offered cover for accidental damage as well as the standard perils. **All risks** insurance developed in response to this, although the name 'all risks' is slightly misleading as it does not cover everything, it simply covers everything that is not specifically excluded.

In essence, all loss, destruction of or damage to the property insured is recoverable as long as it has occurred accidentally in respect of the insured, and the cause is not specifically excluded. There are no optional extensions: everything is covered, unless specifically excluded.

Exclusions can be divided into four groups:

- **Absolute exclusions:** war, pollution, contamination, consequential loss.
- **Gradually operating exclusions:** for example, corrosion/ rust, wind/rain damage to property in the open.
- **Aspects of cover which can be written into the policy:** for example, money, glass, subsidence.
- **Property or risks more appropriate to another class of business:** for example, motor vehicles, aircraft.

Theft insurance

While damage to property caused by fire was one of the earliest obvious causes of loss, other people stealing it, or damaging property while trying to steal it, followed close behind, so *theft insurance* developed in response to this need.

It is however very important to note that 'theft' has a very specific meaning in insurance terms and it is important to differentiate this from the strict legal definition.

The **Theft Act 1968** states that a person is guilty of theft if they:

dishonestly appropriate property belonging to another with the intention of permanently depriving the other of it.

Insurers include a phrase that it must include force and violence either in breaking in or out of the insured premises. Effectively, this means that a loss not involving a 'break in' would not usually be covered. For example, if a thief walks in to a building which has been left unlocked and steals something, it would not usually be insured. This removes cover for entry by a key, a trick or concealment on the premises while open, and leaving without forcible

exit. If a key were obtained by threat or force, cover would usually apply.

Theft cover is usually priced using the theft estimated maximum loss (EML) as a rating factor, as more often than not a 100% loss is not expected. An EML is the amount (often expressed as a percentage of the sum insured) which is considered by the insurer to be an accurate reflection of the worst financial effect that the maximum foreseeable loss would have.

Glass insurance

The standard policy covers destruction or damage to all fixed glass, including windows, doors, fanlights, showcases, mirrored glass and glazed partitions, and usually includes an extension to provide for the cost of boarding up damaged glass until replacement can be effected. If damage happens overnight the costs of this can be quite high. Often the police will call a 24-hour glazier to board up windows to prevent further loss or damage.

Money insurance

In their policy wordings insurers will refer to the negotiability of money, i.e. the ease with which it can be converted to cash.

Money, which is non-negotiable, is difficult to convert into a cash value and, therefore, insurers offer cover at a relatively high limit, e.g. crossed cheques. Limits of £250,000 or even £500,000 are not uncommon.

Negotiable items are readily convertible to their cash value, e.g. bank or currency notes. For these items the limits of liability are more modest and will depend upon locality and time, e.g. 'in safe', 'out of safe on the premises', 'in transit' and 'during or out of business hours'.

A policy covers risks of loss or damage to or destruction of money on an all risks basis, and includes damage to safes or strong rooms caused by theft or attempted theft.

Pecuniary insurance

So far we have dealt with losses that affect business by causing loss or damage to property belonging to the policyholder. But when running a business there are other financial losses that can be insured against. Because the loss here involves direct financial loss it is known as *pecuniary insurance*.

Business interruption insurance

This covers the actual or potential loss of earnings and additional expenses incurred as a result of a material loss covered under property insurance.

In assessing the need for business interruption insurance it is necessary to estimate the maximum time the income of the business could be affected as a result of damage caused by, for example, fire. This period is known as the **indemnity period**.

A maximum indemnity period is then chosen by the insured (this could be 12 months, or even 36 months). It is important that due consideration is given to this period, as it is not always obvious to see the ways in which a business could be affected as a result of a fire. The maximum indemnity period is the longest period over which the business interruption cover will support the business.

Cover will begin with the occurrence and end not later than the maximum indemnity period chosen. Cover is obviously restricted to the time the business was actually affected.

Policies are based on a sum insured representing the **gross profit** for the indemnity period chosen.

Gross profit is calculated as follows: turnover (with adjustment for opening stock and closing stock) less uninsured working expenses.

Gross profit

Gross profit = (Turnover + Closing stock) – (Opening stock + Uninsured working expenses).

Uninsured working expenses are those costs which vary in direct proportion to the level of turnover. These would include electricity, raw materials and such like.

The payroll element is usually insured in full, although a lower rate may be applied to this element.

The main items insured under a business interruption policy are:

- loss of gross profit;
- increased cost of working (ICOW) incurred in order to reduce the loss of gross profit following the insured event. Such costs should be 'economic' and be less than the amount of the gross profit saved.

From these will be deducted savings made during the indemnity period.

There will usually be a *material damage proviso*, requiring a property policy covering the physical damage for the incident, before the business interruption policy comes into operation. In practice, the two policies will usually be linked.

COVID-19

The pandemic put a spotlight on the operation of business interruption policies when thousands of businesses were required to close during the UK lockdowns. There are some insurers which extend business interruption cover to include loss that does not involve damage to property, however, the wording of these extensions varies greatly across the insurance market.

The FCA, therefore, sought a court decision regarding the operation of these wordings, dividing them into three categories: so-called 'disease wordings', 'prevention of access/public authority wordings' and 'hybrid wordings'. The outcome of this test case is complex and beyond the scope of this course, however, its aim is to resolve some key contractual uncertainties and 'causation' issues to provide clarity for policyholders and insurers.

The case ended up in the Supreme Court which handed its judgment down in January 2021 on how claims arising out of the COVID-19 pandemic should be dealt with. Ultimately, cover was afforded to a large proportion of the business interruption policies considered. The FCA is now working with insurers to oversee their progress in the handling of COVID-19 non-damage business interruption claims.

Unless there is an insurance policy in force covering damage to the property there is a good possibility that this damage will not be repaired quickly and the interruption to the business will be longer. So any claim under the BI policy would be likely to be much higher.

Optional extensions

There are certain optional extensions. The cover will be the same, or sometimes a lesser range of perils, as at the insured premises. For example:

- **Specified suppliers.** Provides an indemnity to the insured if the supplier suffers a serious loss and cannot supply the insured's goods. Clearly, the insured will be unable to produce the finished item if the raw material is unavailable. This can expose the insurer to potentially heavy losses especially when the item supplied is specialist in its nature with no readily available alternative market. Insurers often require surveys of the supplier's premises if the exposure is particularly large. This can cause problems if the supplier is located in a foreign country.
- **Unspecified suppliers.** As above, however included under most business interruption wordings and providing a pre-set limit, i.e. 10% of the gross profit sum insured, for loss of profit as a result of a loss at a supplier's premises which has a subsequent negative effect on the insured's profits.
- **Specified customers.** Similar to above except the loss has to occur at a customer's premises, preventing them purchasing the insured's goods.
- **Transit.**
- **Prevention of access.** Customers being unable to access the insured's premises following damage to premises within the vicinity of their own could lead to loss of profits.
- **Public utilities.** Failure of gas, electricity or water to the insured's premises thereby affecting production and subsequent profit.
- **Notifiable disease/murder/suicide.** This extension provides for loss following the occurrence of one of these events and thereby prevents the insured from conducting their business activities at their premises. Increasingly insurers are being asked to include cover for

other diseases which have become more high-profile (e.g. norovirus, ebola), even though some (e.g. norovirus) are not notifiable to local authorities. Such requests should be considered later in chapter 10 as potential additional costs to consider, should agreement be given to widen cover on a case-by-case basis.

- **Contract sites.** An insured may incur a loss if there is damage on a contract site where they are working.

Increased cost of working

Some companies would not necessarily experience large scale, if any, loss of profits if they suffered a serious fire or other loss at their premises. ICOW has been designed to provide that type of company with an amount of money to spend getting back on its feet as quickly as possible.

A limited form of ICOW cover is provided under standard business interruption policies. Insurers are happy to pick up additional costs should the 'costs' incurred reduce the size of the overall profits claim. A good example would be a bakery which supplies bread to the main supermarkets. It would be in the insurer's financial interest to sub-contract the baking and packaging of bread to other bakeries, which may cost say, £500,000 up to the time of reinstatement and refurbishment etc. rather than cover the insured's loss of profits. After all, should they lose their supermarket contracts, the claim may run into millions.

The main difference between an ICOW extension under a loss of profits (business interruption) policy and a stand alone ICOW policy is that a stand alone policy covers uneconomic losses, i.e. the insured can allocate the money as they wish (within the terms of the policy of course) whereas under standard profits cover, the additional costs need to be economic, i.e. serve to reduce the size of the profits claim.

Legal expenses insurance

These policies cover firms' or companies' costs arising out of the need to take action in the courts or to defend an action brought against the insured, as well as covering the cost of the insured's and their employees' time spent in court.

A standard policy consists of a selection of the following:

- **Employment disputes:** covers the costs of defending unfair dismissal or racial or sexual discrimination claims plus any awards made against the insured if unsuccessful.
- **Criminal prosecution defence cover:** covers the cost of defending an action against the insured, usually under health and safety legislation; fines are not covered (this would be against the public interest).
- **Property disputes cover**, e.g. with neighbours over planning applications.
- **Motor cover**, e.g. uninsured loss recovery, defending motor prosecution.
- **Patents, registered designs, copyright and trademarks cover**, e.g. defending claims against alleged breach of copyright.
- **Taxation proceedings.**

Liability insurance

It is worth spending a little time on the concept of negligence here, as this drives liability and liability insurance. Without someone being in some way negligent there is not usually a legal liability to pay for injury or damage.

In general terms negligence can be defined as:

Doing something which the reasonable or prudent person would not do, or omitting to do something which a reasonable person guided by those considerations which ordinarily regulate the conduct of human affairs, would do.

If this happens and someone is injured, there may be a liability to pay damages to that person. Liability insurance provides cover for this possibility.

Employers' liability insurance

The **Employers' Liability (Compulsory Insurance) Act 1969** required that every employer in Great Britain must be insured against liability for bodily injury or disease sustained by their employees arising out of and in the course of their employment, and that a **certificate of insurance** must be displayed at each place of business. The **Employers' Liability (Compulsory Insurance) Regulations 1998** extended these provisions in two important respects:

- the minimum limit required is £5m, although in practice insurers provide cover up to £10m in respect of any event including costs; an inner limit of a £5m limit of indemnity will apply if the insured is working offshore or in respect of events arising from terrorism;
- the certificate must be kept for 40 years.

The second of these provisions, together with the requirement to display a certificate at each place of business have been removed by the **Employers' Liability (Compulsory Insurance) Amendment Regulations 2008**, effective from 1 October 2008. A certificate in electronic format is acceptable provided it remains readily accessible to all employees.

While there is no 'standard' market wording for employers' liability (EL) insurance, most policies follow the same form, with wordings being broadly similar. Remember the policy provides coverage to the **insured** (the employer) against damages they are legally liable to pay to an employee.

Optional extensions

There are optional extensions, for example:

- Defence costs and expenses, i.e. those of the insured themselves. This relates to legal costs **not** following an accident, for example, where an insured is being prosecuted for a breach in Regulations. However, any fine resulting from such prosecution would not be covered and would be paid for by the insured themselves.
- Additional person(s) insured, i.e. any director, partner or employee of the insured in their personal capacity, for actions brought against them, for which the insured would be entitled to indemnity under the policy.
- Compensation for court attendance. Indemnity is provided to the insured up to a prescribed limit, e.g. £500 if an employee, director or partner has to attend a court session.
- Unsatisfied court judgments. If an employee successfully wins an award from a third party but settlement is not met by the third party, upon the insured's request, payment for the amount of the damages or the settlement can be made to the employee provided that it is in connection with a work-related activity.

Cover may be limited by restricting the definition of 'business', excluding certain kinds of work, machines and/or processes, but as this is a compulsory class of insurance, the insurers cannot refuse to deal with a claim on these grounds, and merely obtains a right of recovery against their insured.

Public liability insurance

Public liability insurance is 'open' in that it covers all legal liability that is not excluded. It provides an indemnity to the insured for legal liability to third parties for damages (including claimants' costs and expenses) in respect of bodily injury, death, disease or illness, and for any loss of or damage to property which happens in connection with the business insured under the policy and occurring during the period of insurance.

Again, the critical point here is that there has to be legal liability, and therefore there must be negligence (or breach of statutory duty) in order for there to be a valid claim against the policy.

Mention should be made here of the following:

- **accident:** i.e. not a deliberate act or omission of the insured;
- **injury to persons:** i.e. there must be some form of physical or medical impairment;
- **loss of or damage to property:** there must be physical damage to material property (including loss or disappearance) though this excludes intangibles (e.g. copyrights) or indirect economic loss;
- **consequential loss:** e.g. for damage to a vehicle, the insured may be liable for the cost of a hire car while the third party's vehicle is being repaired – this would be covered; and
- **limit of indemnity:** usually, a limit per occurrence.

Product liability insurance

The standard product liability insurance policy covers legal liability for bodily injury or property damage which arises out of goods or products manufactured, constructed, altered, repaired, serviced, treated, sold, supplied or distributed

by the insured. Cover is not usually offered separately from the basic public liability policy, and is often sold in conjunction with the public liability (PL) policy as a combined PL/products cover.

Examples of product liability include:

- injury caused by faulty wiring on an electric kettle;
- injury caused by use of weak glass in a jar, causing it to smash too easily;
- damage to a car caused by a faulty brake part causing it to roll away while parked; and
- food poisoning caused by incorrectly processed food.

The points to remember about product liability insurance are:

- Cover is for consequential loss following actual injury or damage.
- Financial loss is not usually covered unless accompanied by bodily injury or loss of or damage to property.
- The basic cover is dependent on an element of accident.
- The injury or damage must occur during the period of insurance.
- A yearly aggregate limit of indemnity is usually specified.

You would expect to find the following exclusions in a product liability policy:

- Contractual liability.
- Damage to the actual good(s) supplied. Insurers are not looking to replace a damaged product, this is the manufacturer's problem.
- Faulty design or formula. Similarly insurers are not looking to make good any claims that the insured's products are faulty unless some injury or damage has occurred as a result.

Pollution liability insurance

Indemnity is provided to the insured in respect of pollution or contamination caused by a sudden identifiable, unintended and unexpected incident which takes place in entirety at a specific moment in time and place during any period of insurance.

All pollution or contamination arising out of one incident is treated as one claim. This is regardless of how many separate parties are affected or whether the damage spans more than one policy period.

The policy indemnity limit is in the aggregate during any one period of insurance. This cover does not always appear as a separate section in a policy.

Professional indemnity insurance

This covers professional people's liability for injury, damage or financial loss to clients or the public as a result of breach of professional duty, or negligent acts, errors or omissions in their professional capacity. Most claims arise for financial loss.

Examples could include an architect designing a house incorrectly or a stockbroker recommending some shares in a disastrous company. The list could be endless.

With professional negligence, the courts may award damages for pure financial loss. This is particularly relevant in that usually the courts would not allow a claim if there is no injury or damage as well. An example of pure financial loss would be where a stockbroker negligently advised a client to buy weak shares: there must still be negligence, but the only loss is financial.

It is usual for the policies to offer cover on a **claims made** basis, i.e. the policy applies to claims made against the insured during the period of insurance rather than

losses occurring during the policy period. This is why most professional indemnity policies will also contain a retroactive date.

A retroactive date usually predates the inception of an insurance contract, which is normally an annual policy. Retroactive dates are normally applied from the first date you have held **uninterrupted** insurance. They are used by insurers to exclude claims relating to work which predates the retroactive date from which cover has been in place. It is important to note that you do not have to have held uninterrupted insurance with the same insurer, just that insurance has been in place. You should not be penalised for moving insurer, however, you may find that insurers are unable to provide retroactive dates from the date you have held uninterrupted insurance if, for example, you increase your limit of indemnity.

Directors' and officers' (D&O) insurance

D&O insurance cover protects directors against personal liability for financial loss suffered by third parties.

Standard policy cover offered under a D&O policy has two elements:

- cover for directors and officers in their personal capacity when they are unable to claim an indemnity from the company; and
- cover to protect the company in circumstances where it is permitted to indemnify the directors or officers, such as in the repayment of legal defence costs.

Errors and omissions (E&O) insurance

E&O claims occur where the broker has made a mistake that has caused their client to suffer a loss. This normally comes to light after the client has made a claim. The client is indemnified by the insurance broker's E&O insurance policy. The main two reasons for claims being brought are:

- the policy wording does not say what the client expected; or
- the policy does not do what the broker said it would do.

The minimum limits and maximum level of policy excess are set according to the size of the intermediary.

Medical malpractice insurance

People in the medical professions may be subject to claims on the grounds that they failed to use reasonable care. There is also the possibility of spurious claims when treatment or advice has been suitable. Patients may claim that they did not recover as satisfactorily or quickly as they had expected, implying that another form of treatment may have been more appropriate. This cover is for doctors (including surgeons and consultants), nurses, dentists, pharmacists and 'alternative' practitioners. Standard policy cover provides protection against damages and defence costs for any claims for bodily/personal injury or damage.

Cyber insurance

Cyber insurance can relate to both damage of physical property (including the data on it), pecuniary loss following interruption, and liability to third parties in respect of loss of or damage to third party property or loss of third party data. To understand this type of insurance, think about all the possible situations that could be indemnified in relation to IT and IT systems, which more traditional forms of insurance protection may not cover, such as:

- loss of data (e.g. electronic ledgers) or software;
- theft of money through electronic systems;
- loss of business following interruption to electronic systems;
- extortion by third parties who threaten to release sensitive data if they are not paid or specific demands are not met;
- reputational risk following loss of data, including customer data (there have been several well-publicised incidents involving retailers, banks and utility companies in the last few years);
- cost of paying damages (compensation) to third parties, such as customers, following the loss of personal data or interruption in access to systems;
- defence costs in the event of any action brought against a company following loss of customer data; and
- cost of paying damages arising from torts such as negligence or defamation or breach of privacy.

It would make sense to separate out such scenarios – you can think of them as first party (i.e. in relation to the proposer's assets or finances) or third party (i.e. in relation to the proposer's duty of care to third parties and their property).

7

Related services

Helplines

Helplines or advice lines are mainly freephone numbers, often operating 24 hours a day, providing emergency assistance and expert advice to insurance policyholders.

Be aware

Artificial intelligence (AI) can be used in this area. Insurance companies often use chatbots and virtual assistants instead of, or in addition to, a traditional helpline.

Examples of where helplines may be used include:

- **Private motor insurance:** providing policyholders with 24-hour access to a call centre for assistance in the event of a vehicle breakdown. The insured will usually only pay for labour and parts for assistance provided, depending on the policy terms.
- **Household insurance:** providing legal advice and legal costs services, emergency services which provide immediate assistance in emergencies whether or not relating to claims, i.e. plumbers, roofers and glazing services.
- **Travel insurance:** most travel insurers provide cover for a medical emergency service. This is usually operated

by a specialist company providing a 24-hour multi-lingual helpline facility. In an emergency, the company will advise or organise the necessary medical treatment or repatriation (getting the policyholder back home) facility.

It is important to note that following the implementation of the **Consumer Rights Act 2015**, use of premium rate phone numbers has been prohibited. Although the legislation does not apply to financial services, the FCA has confirmed that it is adopting a similar approach for insurers and other financial services providers with a requirement in its Handbook that customers should not pay more than a basic rate for telephone calls.

Authorised repairers and suppliers

Authorised repairers are most commonly used in motor insurance. Private motor insurers have a panel of authorised or approved repairers and when a claim is reported, insurers will usually either provide policyholders with details of approved repairers in their area or directly instruct an approved repairer to collect the vehicle and carry out repairs etc.

Risk control and advice

Risk management could be described as the identification, analysis and economic control of those risks which can threaten the assets or earning capacity of an enterprise.

From this description, three steps can be identified in managing a risk:

- risk identification;
- risk analysis; and
- risk control.

The two main courses of action for insurers are:

- **Physical control measures (of the risk):** e.g. requiring that approved locks are fitted to the doors of a private home to reduce the theft risk.
- **Financial control measures (of the potential loss):** e.g. imposing an excess, arranging reinsurance.

The **risk surveyor** (sometimes called the loss control engineer) is the 'eyes and ears' of the insurer, identifying risks which the insured can either:

- eliminate, e.g. prohibiting smoking in workshops containing combustible materials; or
- control, e.g. storing combustible waste materials at least ten metres away from buildings to prevent the spread of malicious fires.

The risk surveyor should work closely with the underwriter in identifying the measures to control risk and ensuring the policy terms reflect these.

Uninsured loss recovery services

There are various situations that arise in connection with motor insurance where the insured may have no cover but potentially has a legal right to recover losses from another person.

It is important to note that increased insurance premiums due to loss of NCD are not recoverable as an uninsured loss. This is because where the insurer, having met the own damage claim, reduces the insured's NCD but subsequently makes a

full recovery of its outlay, the insured will be reimbursed the increased premium due to the initial loss of NCD.

Some insurance intermediaries will provide assistance in respect of the recovery of uninsured losses, but practice varies.

Legal expenses

This legal expenses cover is not the same as that offered under most household insurance policies, where an add-on is cross-sold to customers at the point of sale. Add-ons are now subject to the Consumer Rights Act 2015. This sets out that any ancillary products and services offered at point of sale must be affirmed positively by the customer, rather than sold assumptively or without it being clear that a choice exists not to take the cover. The Act also sets out that such ancillary policies must be cancelled in the event that the main policy is cancelled.

Claims management company

There are also specialist companies which will pursue claims for personal injury. Claims management companies act as intermediaries between claimants and the companies being claimed against. These can be on a 'no win, no fee' basis. The larger companies often advertise their services on television.

A claims management company would handle the whole claim through to settlement. If the claimant's case is won, then the company will take a fee, usually a percentage of the settlement or a flat lump sum, sometimes a combination of both. Fees can be in excess of 20% of the final payout and are regularly scrutinised.

8

Underwriting considerations

Basic principles of underwriting

In relation to general (non-life) insurance, we can distinguish insurers' general approach to underwriting in respect of **personal** insurances and **commercial** insurances.

The **Consumer Insurance (Disclosure and Representations) Act 2012** shifts the duty of disclosure away from consumers. The consumer must only answer, fully and accurately, questions that the insurer asks of them. Despite fears of proposal forms becoming excessively long, customers have instead seen the questions on them become far more specific and detailed. For example, instead of just asking about previous claims, proposal forms ask about previous claims, as well as **losses or incidents that could have given rise to a claim**.

Under the **Insurance Act 2015**, commercial customers no longer have to consider what an underwriter might deem to be material but must give 'fair presentation' of their risk, having conducted a 'reasonable search' of their business and 'signposted' information for an insurer. The underwriting of commercial business insurances is generally more complicated as unlike personal lines business the risks are less homogeneous. Commercial insurances range from

small shops and factories to large multi-national corporations with operations in many countries throughout the world. Risks can range from a few vehicles belonging to a company to aircraft and satellites. The degree of complexity of the underwriting required will obviously vary with the sheer size of the risk, but certain principles are still recognised.

The insurance underwriting process will always consist of an assessment of the following:

- The major underwriting factors affecting claims experience for the particular class of business. For example, woodworkers use potentially dangerous powered machinery; it is of no surprise therefore that the injury rate for employees in the woodworking industry is more frequent and severe than injuries to office workers. Similarly, the frequency and severity of fire incidents in schools and colleges (mainly arson related) is higher than that presented by, say, hardware shops.
- The 'average' claim per member of the group.
- The proposer's characteristics in comparison with the 'average' member. For example, consider the extraction ducting over a deep fat frying range in a fast food restaurant. The risk having good cleaning procedures, i.e. weekly filter cleaning and a bi-monthly ducting clean through is less likely to suffer a duct-related fire than the risk that has a haphazard cleaning procedure or routine.

Specific underwriting considerations

Motor insurance

Many different factors are used in the motor insurance underwriting process, and several are equally relevant to private cars, motor cycles and commercial vehicles. Some of the key factors are:

- **Driver's age.** This is relevant because certain age groups are probably more susceptible to claims than others. For example, those in the 17–25 age group, which will include the less experienced driver and those lacking risk awareness (which could evidence a poor moral hazard), will expect to be charged more than those in the 40–50 age group who have more experience and probably drive more carefully.
- **Type and make of vehicle.** Expensive, rare or unusual vehicles will be more expensive and/or difficult to repair; powerful vehicles will be more difficult to control, especially in the hands of an inexperienced driver (this is a good example of how the different factors inter-relate). Commercial vehicles attract higher premiums due to their frequency and nature of use, value, size and type of cargo, resulting in an increased third party property damage or bodily injury risk.
- **Type of use.** A vehicle used for social purposes is inevitably going to spend less time on the road than a commercial vehicle. Also, within the categories of commercial use, some vehicles will be less susceptible to damage than others. Large haulage lorries that are part of a fleet present a different risk from a small van owned and operated by the same person.

- **Geographical area.** Some areas of the country have higher vehicle theft rates than others; where there are more vehicles on the road, there is more chance of an accident occurring.
- **Storage.** Where the vehicle is kept overnight or when it is not in use; obviously a garaged vehicle is less likely to be stolen than one left out on the road; it would also be less likely to be subject to malicious damage.
- **Driving record.** Previous claims history is important here; a poor claims history may be evidence of poor moral hazard, as would previous convictions.
- **Cover required and/or extensions requested.** The wider the cover the more risk is brought to the 'pool', so the underwriter should apply higher premiums and impose different terms.
- **Vehicle modifications.** Expensive stereo equipment or addition of attractive racing wheels increases the risk of theft.

Health insurance

Underwriting factors include:

- **Occupation.** This is a major rating factor for both personal accident and permanent health insurance (PHI). The general practice is to group occupations into four or five main classes, imposing premiums according to the level of accident or health risk involved. The classes will range from no or low accident/health risk (e.g. professional and administrative classes), to high or extra-hazardous risk (e.g. coal miners).
- **Age.** Generally the risk of illness increases with age, but in respect of accidents young people represent a higher risk as they are less aware of and take more risks in the workplace.

- **Family circumstances.** This will often include specific financial details for applications for PHI to ensure that benefits are not excessive.
- **Lifestyle and physical condition.** A person's lifestyle can have a significant effect on general health and longevity. For example, smoking is the primary cause of lung cancer and greatly affects the likelihood of heart disease. Obesity can also affect the heart and blood circulatory system.
- **Medical history.** This is particularly important for a PHI policy where the underwriter is accepting a greater potential liability than for, say, an accident only policy and close consideration needs to be given to the risk of a serious illness or accident leading to extended disability. In some circumstances a medical examination is required.

Personal insurances

Household insurance

Some of the most important factors in respect of the house (the building) itself are:

- **Construction.** Insurers are concerned here with what the house is made of. If it is not made of brick, stone or concrete, or not roofed with slates, tiles, metal or concrete, it would be an increased risk and therefore an additional premium would be charged, e.g. thatch roofed houses.
- **Location.** Some insurers have invested heavily into systems which allow for robust risk assessment of key risks such as storm, flood, subsidence, crime and arson relative to a specific post code. For those insurers who do not have the benefit of such systems local knowledge will be used or Government agency web sites, e.g. Environment Agency.

With respect to **contents**, insurers will be concerned with:

- **Area.** Some postcode districts represent higher theft risks.
- **Occupation during the day.** Sometimes discounts are provided if the property is occupied during the day or if the insured is a member of a neighbourhood watch scheme.
- **Security.** A minimum level of security may be expected and sometimes discounts may be given if an intruder alarm is fitted.

Travel insurance

All the following aspects would require special consideration:

- **Destination.** Medical expenses can be notoriously expensive in certain countries, e.g. USA.
- **Purpose and duration of travel.** Whether for a holiday or business etc.
- **Group policies.** This would involve situations where a whole group of people related or connected in some way could be involved in the same accident if travelling together.
- **Existence of pre-existing conditions.** Underwriters would want to establish if the insured was suffering from a condition that could result in a claim, e.g. heart disease, and may wish to exclude medical expenses cover in respect of the condition.

Commercial property insurance

Fire and special perils

The main factors are:

- **Use.** For example, is the building used as a garage, office etc. or is it a fireworks factory?
- **Types of goods stored on premises.** For example, bulk storage of combustible materials such as paper, cloth or

highly flammable substances provide fuel to support a fire increasing the likelihood of extensive damage.

- **Construction and material.** Brick, steel frame, timber? In recent years risks which feature composite panels have been given a high profile. The food industry in particular has seen significant increases in premium especially where polystyrene has been used as an insulating material.
- **Safety features.** For example, fire alarms, fire walls, sprinkler systems.
- **Risk management features.** For example, housekeeping, control of contractors, audit and inspection and maintenance.
- **Number of floors and area.**
- **Method of heating and lighting.**
- **Location relative to perils.** For example, storm, flood, subsidence, theft and arson.

Theft insurance

Important considerations are:

- **Trade.** Some trades are naturally more vulnerable to theft than others. For example, a jeweller would be more vulnerable than a bookshop.
- **Geographical area.** Again, some areas are more susceptible to thieves.
- **Any moral hazard of owner.**
- **Nature and construction of the property.** With the most important consideration being its resistance to forced entry.
- **Theft precautions.** For example, intruder alarms, CCTV, security guards, security lighting etc.

Glass insurance

The main considerations here would be the use of the building (in relation to the likelihood of glass being broken) and the geographical area. Vandalism is one of the main concerns when considering insuring large shop windows in town centres.

Money insurance

In addition to knowing how much money is handled (cash, cheques) an insurer will want to know of precautions taken in storing and transporting money, whether there is a safe and/or strongroom and how employees are paid (if employees are paid in cash, obviously there is a great risk of a large amount of cash being on the premises). A business which handles a lot of cash (such as a shop) will be more at risk of a loss than one where most transactions are on account and money is transferred electronically via the bank network (such as an office).

Pecuniary insurances

Legal expenses insurance

Underwriting considerations will be directed firmly at establishing a proposer's susceptibility to actions through the courts. Possible questions would therefore be aimed at a proposer's employment criteria (and possibly the current breakdown of staff according to sex and/or race), views and actions in respect of health and safety legislation, and occupation (are they in a trade that can provoke ill feeling, e.g. planning, demolition contractors?).

Business interruption insurance

Essentially, an insurer is concerned with how quickly a proposer can get their business up and running again after an incident/interruption features. For example,

- Could they operate from another premises?
- Is replacement machinery readily available?
- Are there any critical pieces of machinery or is there any interdependency between production lines and/or sites?
- Are there any seasonal features? The insured may be dependent upon key times of the year and damage at these times could have a significant impact on the business.
- External dependencies such as suppliers, customers and utilities.

Liability insurance

Underwriting factors are different for the type of liability cover required:

- **Employers' liability.** Here, the principal consideration is the trade and occupation of the employee concerned, i.e. an insurer will obviously be concerned about the likelihood of an employee being injured or suffering from an industrial disease, and will want to assess the danger of their particular occupation (e.g. office worker versus scaffolder).
- **Public liability.** The major consideration here is the proposer's trade or business; because of the nature of the cover, if a proposer has little or no contact with the public at large, there would be little risk of liability to the public arising. Conversely, consider the situation where a large food retailer requires this insurance: they have high contact with the public and therefore represent a higher risk than, for example, a telesales office.

- **Pollution liability.** Risk assessment is heavily weighted towards trade, the materials used and whether there are adequate controls to prevent the escape of pollutants into the air or water. You will recall that the cover only operates from sudden identifiable events. Underwriters will want to know what chemicals are used and details of their storage arrangements and risk control measures such as bunding (containment of potentially hazardous materials).
- **Products liability.** As with public liability, the principal consideration is the proposer's trade or business. A drug manufacturer's potential exposure and risk would be, for example, greater than a business which manufactured socks. During the risk assessment process underwriters will specifically consider the final use of the product and its potential to cause bodily injury or damage to third party property. From a risk management perspective quality control systems would be of particular significance. Underwriters are also keen to know about any goods being exported to North America as the particularly litigious nature of society there results in a significant increase in the products liability exposure which the underwriter needs to consider and charge for.
- **Professional indemnity.** Underwriting considerations here will mainly be geared towards assessing the exact occupation, professional qualifications, experience and degree of moral hazard. The risk premium will be relative to the potential consequences of poor advice.

Extended warranties

Extended warranty policies are usually sold at point of sale, so are not generally 'underwritten' as such. However, statistics would be produced by the insurer to assess the likelihood of a product breaking down over a period of time, and the premium would be set accordingly.

Credit rating

Many insurers in both the personal lines and commercial insurance markets now consider a proposer's credit worthiness, both as part of their *acceptance* of a risk, and as a potential rating factor. This is not specific to one line or class of business, as across most lines a link has been detected (but not yet fully understood), between propensity to claim, claim frequency, average cost per claim and loss ratio, and credit rating.

Fraud: prevention, detection and consequences

Insurance fraud can take many forms and the following are just a few examples:

- Inventing a loss event that never took place. For example, a burglary at home.
- Exaggerating the number of items stolen during an otherwise honestly reported break-in.
- Deliberately creating an insured event. For example, throwing paint on a carpet at home.
- Exaggerating the effects of an insured event. For example, claiming whiplash after a minor car accident where no injuries were received in order to claim compensation.

If a fraudulent claim is paid, its impact on various parties is far reaching:

- **The insurers.** The cost of fraud is enormous, and if individual insurers do not take it seriously, it will impact their bottom line (profit). Claim costs will rise, impacting on premiums and making them less competitive. They may even get a reputation as a soft touch, and may lead to genuine insureds avoiding them.

- **The insureds.** Even the genuine policyholders will be affected by the commensurate increase in premiums, not just the fraudsters.
- **Fraudulent claimants.** If they get away with it once, the temptation will be there to continue this practice in the future.

Fraud prevention is dealt with mainly by the **Insurance Fraud Bureau** which was established to:

- coordinate industry-wide action (involving individual police forces, insurance companies and other agencies involved in fighting crime and fraud);
- actively run public education campaigns; and
- operate centres of expertise on fraudsters and their methods of operation.

New technology is used to detect fraud, including the use of a pooled claims database where insurers can share information from a variety of insurers and try to trap those repeated claimants by matching their new claims details against those already held.

The Consumer Insurance (Disclosure and Representations) Act 2012 has had other indirect impacts on insurers. In addition to reviewing the questions they ask at the proposal stage, insurers are also looking at ways to obtain data from other sources (e.g. CUE), either to supplement information that they cannot obtain from the proposer, or to validate information which has already been provided.

The role of the claims handler

What can the individual claims handler do to combat fraud?

The claims handler plays a vital part in detecting fraud: methods of detection vary across the classes of business, but there are many common indicators. For example, claims handlers are trained to be cautious with claims:

- made soon after policy inception or renewal;
- where the insured has no documentation for lost items;
- where the insured has several similar claims for similar accidental loss or damage within a short space of time.

Equality Act 2010

The **Equality Act 2010** aims to harmonise and replace previous legislation (such as the **Disability Discrimination Act 1995** and **Sex Discrimination Act 1975**) and ensure consistency. The Equality Act covers the same groups that were protected by the old legislation – age, disability, gender reassignment, race, religion or belief, sex, sexual orientation, marriage and civil partnership, and pregnancy and maternity. These are now called '*protected characteristics*'.

The Act extends some protections to characteristics that were not previously covered and also strengthens particular aspects of equality law.

The Act was introduced in 2010 but the implementation of some parts did not come into effect until 2011, 2012 and 2013.

The overall purpose of the Act is to tidy up and widen the laws already in place to prevent inequality and discrimination.

Types of discrimination: definitions

Direct discrimination	This occurs when someone is treated less favourably than another person because of a protected characteristic they have or are thought to have (see perceptive discrimination below), or because they associate with someone who has a protected characteristic (see associative discrimination below).
Associative discrimination	This already applies to race, religion or belief and sexual orientation and has now been extended to cover age, disability, gender reassignment and sex. This is direct discrimination against someone because they associate with another person who possesses a protected characteristic.
Perceptive discrimination	This already applies to age, race, religion or belief and sexual orientation and has now been extended to cover disability, gender reassignment and sex. This is direct discrimination against an individual because others think they possess a particular protected characteristic. It applies even if the person does not actually possess that characteristic. The full guide provides an example of perceptive discrimination.
Indirect discrimination	This already applies to age, race, religion or belief, sex, sexual orientation and marriage and civil partnership and has now been extended to cover disability and gender reassignment. Indirect discrimination can occur when there is a condition, rule, policy or even practice in a company that applies to everyone but particularly disadvantages people who share a protected characteristic.

In deciding whether or not its practice is lawful the underwriter needs to consider if the practice affects, for example, disabled people (as defined) and, if so, whether it treats them less favourably than it treats non-disabled

people, as a result of the disability in question. If it does, it must consider whether it does so with justification. There are a limited number of circumstances in which a service provider may treat disabled people less favourably. From an underwriting perspective, less favourable treatment is justified only if it is based on information that is relevant to the assessment of the risk. This includes actuarial or statistical data, medical research information and medical reports about the individual.

In 2011, the European Court of Justice ruled that insurers can no longer use gender when rating for risks; as a result, insurers have been forced to remove any gender-related rating from their products. This ruling from the **Test-Achats** case came into force at the end of 2012. It has had an impact on motor insurance for consumers, with most insurers moving rates for female drivers (historically identified as 'better' drivers) in line with rates for male drivers.

Data protection legislation

'Data protection legislation' is a generic term for the **UK General Data Protection Regulation (UK GDPR)** and the **Data Protection Act 2018 (DPA 2018)**. Together, they govern the processing of personal data in the UK.

The legislation is amended by the **Data (Use and Access) Act 2025 (DUAA)**, which came into force on 19 June 2025. Some of the changes it introduces were implemented immediately. However, most will be implemented in stages, two to twelve months after Royal Assent.

DPA 2018 mirrors much of what is contained in the UK GDPR and makes some modifications. For example, parts of the UK GDPR do not apply to processing by law enforcement authorities. In addition, from age 13 parental consent is not needed to process data online. Under the DUAA, online

services likely to be accessed by children now have an explicit duty to take their needs into account when deciding how to use their personal information.

Who does the legislation apply to?

It applies to all persons in the UK who process personal data other than for domestic purposes. It gives data subjects rights and places obligations on data controllers and data processors.

For example, both controllers and processors are required to ensure that their data processing is secure. Significant fines have been imposed for security breaches, and there have been a number of out of court settlements of claims for damages from affected data subjects who have banded together to obtain group litigation orders.

What information does the legislation apply to?

It applies to **personal data**. This is any information from which a living individual can be identified, either directly or indirectly. The information is not limited to names and identification numbers or to photographs or addresses. A large shoe size may be someone's personal data if there is an individual in an organisation known to have big feet. An IP address may be personal data.

It is important to remember that information may become personal data if a person becomes identifiable when data is combined with other information that subsequently comes into the possession of an organisation. Personal data that has been effectively anonymised is no longer personal data and falls outside the data protection legislation. It is well known that the legislation governs the processing of electronic data (known as automated processing). It is less well known that it also governs the processing of personal data in a manual filing system. For example, the failure to shred documents may be a data security breach in some

circumstances. Leaving a file in a taxi is a well-known example of a security breach.

Sensitive personal data

The legislation creates special categories of personal data so as to provide additional safeguards for sensitive information. The categories are:

- race or ethnic origin;
- political opinions;
- religious or philosophical beliefs;
- trade union membership;
- genetic data;
- biometrics (where used for ID purposes);
- health information;
- information about sex life; and
- sexual orientation.

Data Protection Principles

Personal data must be processed in accordance with the seven Data Protection Principles. They are:

1. Lawfulness, fairness and transparency.

- There must be a lawful basis for processing personal data. Any unlawfulness, whether it is a breach of the data protection legislation or not, will be a breach of this principle.
- Data should be processed fairly which means it should be processed in ways that people would reasonably expect.
- Organisations must be clear, open and honest with individuals about the personal data they are processing and why and how they are doing it. This may be achieved with the publication of a privacy notice.

2. **Purpose limitation.** Data should not be processed for reasons other than those for which the information was obtained in the first place. For example, personal information provided when a person registers with an online retailer should not be provided to third parties without the person's consent. The DUAA provides some limited circumstances where processing personal data for a new purpose is to be treated as processing in a manner compatible with the original purpose.
3. **Data minimisation.** Organisations must use the minimum amount of data required to fulfil their purposes. They must process no more information than they need. For example, is a date of birth really necessary?
4. **Accuracy.** Data should be accurate and kept up to date. This includes granular detail such as addresses.
5. **Storage limitation.** Information must be kept no longer than is necessary to achieve its purpose. For example, is there a justification for keeping an entire file for six years? Can some sections of it be destroyed before then?
6. **Integrity and confidentiality.** Organisations must ensure that they have appropriate security measures in place to protect the data they hold.
7. **Accountability.** Organisations must take responsibility for what they do with personal data and how they comply with the other principles. They should keep records to demonstrate compliance. Providing accessible information to individuals about the use of their personal information is a key element of compliance; most organisations do this via a Privacy Notice, which can usually be found on their website.

Lawful processing

The processing of personal data is unlawful unless one of the legal bases set out in the legislation applies. This means that organisations need to identify a legal basis for the processing.

1. Consent

Consent must be freely given, specific, informed, and an unambiguous indication of the individual's wishes. It must be quite distinct from other terms and conditions; it must be given for an identified purpose; and there must be some form of positive opt-in. It cannot be inferred from silence, pre-ticked boxes or inactivity. Organisations need to make it as simple for people to withdraw consent as it was to give it. It is advisable to find an alternative legal basis where possible.

2. Contract

The processing is necessary to give effect to a contract with an individual, or because they have asked the organisation to take specific steps before entering a contract.

3. Legal obligation

The processing is necessary for a firm to comply with the law (other than contractual obligations).

4. Vital interests

The processing is necessary to protect someone's life. This basis is limited in scope and generally only applies to matters of life or death.

5. Public task

Public authorities rely on this basis where they need to process personal data 'in the exercise of official authority' or perform a task in the public interest. Organisations in the private sector may also rely on

this basis where they are exercising official authority or carrying out tasks in the public interest.

6. Legitimate interests

The processing is necessary for an organisation's legitimate interests or the legitimate interests of a third party, unless there is a good reason to protect the individual's personal data which overrides those legitimate interests.

Legitimate interests may be commercial interests and businesses often rely on this basis. If they do, they must identify the legitimate interest and ensure they are processing the personal data for that purpose. They must also check that the processing is necessary to achieve that purpose.

Finally, it is important to carry out a balancing test to assess whether the interests of the individual and their right to privacy override the legitimate interests of the organisation.

The DUAA removes the requirement to carry out a balancing test for 'recognised legitimate interests', which include the safeguarding of a vulnerable individual, responding to an emergency and the prevention and detection of crime.

Rights

Individuals have the following legal rights under the legislation:

Right to be informed	• Individuals have the right to be informed about the collection and use of their personal data. • The information provided must include the purposes for processing the personal data, the retention period and who it will be shared with. • Information must be provided to individuals at the time the personal data is collected from them.
Right of access	• Individuals have the right to find out if an organisation is using or storing their personal data. • They also have a right to receive a copy of their personal information. • They can exercise this right by submitting a subject access request (SAR). An SAR can be made verbally or in writing. • A company should respond to a SAR within one month, unless clarification or more information is required; it can take an additional two months if the request is complex. The DUAA confirms that controllers are only required to carry out searches that are reasonable and proportionate. • This right corresponds to the transparency principle which organisations are required to adopt.
Right to rectification	• Individuals have the right to have inaccurate personal data rectified or completed if it is incomplete. • An individual can make a request for rectification verbally or in writing. • A company has one month to respond. • This right corresponds to the accuracy principle.

Right to erasure	• Individuals have the right to have their personal data erased, also known as 'the right to be forgotten'. • The right is not absolute and only applies in certain circumstances. • An individual can make a request for erasure verbally or in writing. • The organisation has one month to respond.
Right to restrict processing	• Individuals have the right to request the restriction or suppression of their personal data. • When processing is restricted, an organisation is permitted to store the personal data, but not use it.
Right to data portability	• Individuals have the right to transfer personal data from the IT system of one organisation directly to another in a safe and secure way – when changing banks, for example. • This right allows data subjects to use applications or services to find a better deal.
Right to object	• Individuals have the right to object to the processing of their personal data in certain circumstances. • They have an absolute right to stop their data being used for direct marketing. • Organisations may be able to continue processing personal data despite an objection if they can establish a compelling reason for doing so. • An individual can make an objection either verbally or in writing. There is one calendar month to respond.

Rights in relation to automated decision making and profiling

- An individual has the right not to be subject to a decision based solely on automated processing, including profiling.
- Processing is 'automated' where it is carried out without human intervention and where it produces legal effects or significantly affects the individual.
- Individuals must be able to obtain human intervention, including an explanation of the decision, and be able to challenge it.
- The DUAA creates a more permissive framework for making automated decisions, subject to stringent safeguards.

Accountability and governance

Data controllers are required to demonstrate compliance with the data protection legislation. They are required to have certain policies and procedures in place, including a risk register where data breaches are entered.

Organisations need to maintain documentation to evidence their processing activities and to implement appropriate security measures. Where personal data is sensitive or high risk a data protection impact assessment will be advisable. They also need to ensure there are written agreements in place between them and any processors they engage. Certain terms are mandatory in these agreements. The appointment of a data protection officer may be recommended.

The DUAA requires a data controller to facilitate complaints from data subjects who suspect an infringement of their rights under the legislation. An electronic complaints procedure is an obvious way to satisfy this requirement.

International data transfers

To ensure that the level of protection afforded to individuals by the UK GDPR is not undermined, the data protection legislation governs the transfer of personal data from

the UK outside the EU to third countries or international organisations.

The DUAA introduces a new test to be applied. The third country or international organisation must have a standard of data protection which is 'not materially lower' than the UK standard.

Breach notification

Organisations must report data breaches to the **Information Commissioner's Office (ICO)** where there is likely to be a risk to data subjects. If the risk is high, the data subjects must be alerted to the breach.

For the most serious data breaches, the ICO may levy fines of up to £17.5m or 4% of annual global turnover if higher.

9

Establishing the price: rating factors

Data required

Insurers, like all large companies, make decisions at different levels and therefore require different types and amounts of information. We can break down the levels of decision as follows: board level decisions, managers' decisions and operational decisions.

- **Board level:** here, directors are concerned with group performance/profitability, the control of 'downside risk' (e.g. through catastrophe reinsurance) and broad strategy implementation.
- **Managers:** they will be responsible for different divisions within the business, e.g., sales, underwriting, personnel, and therefore require information that is specific to their area of responsibility. For instance, a property underwriting manager would be particularly interested in weather-related data and details of large claims; whereas a sales manager/director would be interested in new business activity and renewal retention levels.
- **Operational level:** the issues will surround the implementation on a day-to-day basis of the underwriting

practices and procedures established by the management team. So, data will focus on customer service levels, accuracy of claims handling and settlement, documentation and credit control.

Board level reporting

Issues concerned at this level are:

- **growth:** gross and net (i.e. how is the premium growing, both in total and net of reinsurance?);
- **loss ratios:** gross and net (i.e. what is the relationship of claims to premium income?);
- **underwriting margin/profit;**
- **business mix:** by class, distribution channels, geographically;
- **exposure accumulations** (i.e. is there an exposure to a particular loss by virtue of writing too much business in a particular class or area?);
- **competitive positioning:** how the company measures up to competitors;
- **return on capital:** profit expressed as percentage of capital; and
- **solvency:** relationship between the capital and exposure to risk, usually expressed in terms of premium income.

Reporting to underwriting managers

Reporting will generally be monthly. The key consideration is trends over time and this data will often be presented geographically. Issues concern:

- growth by product;
- retention rates (i.e. how much business is being kept and not lost to a competitor?);
- new business flow analysis;
- lapse flow analysis, i.e. lost business;
- loss ratios;
- claims trends: frequency and severity; average cost per claim;
- underlying claims;
- large losses; frequency and severity;
- weather-related losses; frequency and severity;
- reserve consistency;
- rate changes and increase in end price to customer (e.g. rate, indexation);
- commission rate (to intermediaries);
- expense ratios (i.e. what is the total level of costs compared to premium?);
- exposure accumulations; and
- market share and competitor activity.

Operational data

This level requires monthly, and often weekly, reporting, for instance by intermediary, policy class or by underwriter. Specific information provided includes:

- loss ratio claims statistics: frequency/severity/large losses/claims movements;
- new business;
- retention;
- rate increases;
- credit control; and
- compliance with contract certainty standards.

Importance of claims information

Claims are the principal 'cost of production' for an insurer and the accurate analysis of past claims histories (and flowing from this, forecasting the future cost of claims) is crucial to the profitability of an insurer's underwriting account.

Analysing *claims information* in various ways provides the underwriting manager with the information needed to ensure that predictions can be made about the future loss pattern and, in turn, the premium needed to cover the anticipated future claims costs.

When analysing claims data underwriters will consider:

- Looking at each year chronologically, is the experience improving or deteriorating?
- Is the number of claims each year increasing or decreasing (considering large versus attritional (volume))?
- Is the average cost of claims each year increasing or decreasing (considering large versus attritional (volume))?
- What are the causes of the claims?
- Are there any large claims that are distorting the pattern?
- Are individual claims reserves accurate, given the nature of the claim?
- What is the position regarding underlying claims?
- How are the claims recorded:
 - year of notification; or
 - underwriting year?

Personal injury discount rate (PIDR)

When claimants involved in life-changing injuries accept lump-sum payments from insurers, the amount they receive is adjusted based on the rate of return (interest) they can reasonably be expected to achieve by investing the lump sum. This adjustment is made by courts and linked to the rates of return on low-risk investments, such as index-linked gilts.

From 20 March 2017, all new and outstanding claims were subject to a discount rate of -0.75% . This is, in effect, a loading to reflect the fact that investment returns had not been keeping pace with inflation, which resulted in a reduction in the value of the lump-sum payment awarded in real terms.

The change of rate was significant for insurers, as it applied to both existing claims that were outstanding, as well as to new claims. This means that its impact is retrospective in many cases. For the sake of clarity, though, it did not apply to historic claims that had already been settled, as most insurers' policy wordings contained a provision which stated that claims were paid in full and final settlement.

In 2019, the Government advised it was starting a review of the discount rate and whether it should be changed from -0.75% .

From August 2019, the rate was set at -0.25% . While this was an improvement at the time, it was still effectively a load and impacted some insurers who stated they had been reserving on the assumption of a nil rate.

The Lord Chancellor has since increased the rate to $+0.5\%$ with effect from 11 January 2025.

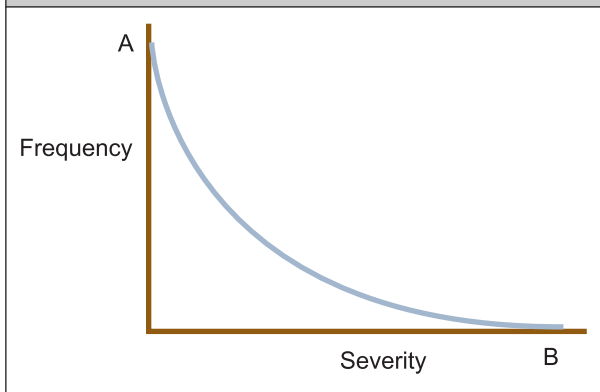
Frequency and severity of claims

Risk is usually assessed in terms of:

- *Frequency*: how often will it happen?
- *Severity*: when it does happen, how serious will it be?

Factors relating to both frequency and severity must be taken into account in our assessment of risk, and this relationship varies from one risk to another.

Figure 9.1: Relationship between frequency and severity



The left-hand side of the graph at point 'A' shows the high frequency/low severity claims which, based on the law of large numbers, tend to be predictable.

The right-hand side of the graph at point 'B' shows the low frequency/high severity claims, which are difficult to predict owing to their random nature.

High frequency and low severity

In these instances, there will be a large number of small losses and relatively few large losses. Depending on the type of insurance, often a suitable excess can accommodate these small losses.

Examples include theft of mobile phones or motor windscreen claims. Research into industrial incidents has shown a similar pattern.

Such losses are relatively predictable and may be referred to as the 'underlying claims cost' and should approximately be in direct proportion to the number of exposure units insured. A prudent underwriter should be able to predict these loss levels up to a certain degree of tolerance. For example, on a property account you might expect between 20% and 25% of the total premium to be exposed to underlying claims costs, i.e. excluding weather and large losses which have a degree of volatility attached to them.

Low frequency and high severity

Here, the situation is the reverse: there will be fewer incidents, but when they do occur the result will be far more serious.

Good examples of this type of risk profile are accidents involving oil-carrying sea vessels, e.g. the Deepwater Horizon oil spill in the Gulf of Mexico in 2010. Technological advances can help to reduce the frequency of accidents.

These losses are far less predictable compared to the underlying losses referred to above. As a result, insurers will take out reinsurance to protect themselves against such volatility.

Reinsurance will apply to:

- specific large losses; or
- an accumulation of exposures which create a large loss for the insurer following a single event; or
- the effects of an accumulation of events over a specific period.

Claims loss ratios

A claims loss ratio is the ratio of claims to premiums, and is calculated by dividing the amount of claims incurred by the amount of premium received, i.e.:

$$\text{Claims ratio} = \frac{\text{claim incurred}}{\text{premium}} \times 100$$

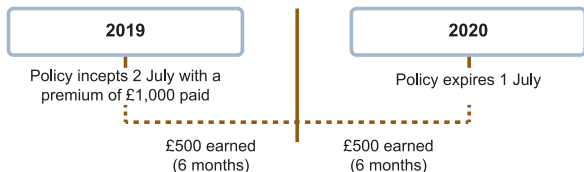
If company A's motor account had a premium income of £100,000, and claims of £103,000, the claims ratio would be:

$$\frac{103,000}{100,000} \times 100 = 103\%$$

Earned loss ratio (ELR)

Here we introduce the concept of earned premium. If an insurer begins cover on the 1 July and its financial year runs from 1 January until 31 December, then it will only have earned 50% of the premium in the financial year in which the premium is entered onto the accounts (or is 'booked').

An *earned loss ratio* can then be calculated by comparison of the claims for the period up until 31 December with the premium earned as above.



Earned loss ratios may be adjusted at account level to reflect reinsurance spend and IBNR (incurred but not reported) claims. The latter deals with the need to reserve for claims which have not yet come to light, but nevertheless may possibly occur. Emerging risks provide an example of this in respect of liability.

When measuring ELR at policy level or broker level, IBNR and reinsurance are not taken into account.

IBNR claims are considered to be a funding issue at account level and are considered only when analysing the 'bigger picture' and the future prosperity of the account.

The concern at policy level and broker level is to consider the relative profitability of the individual policy or broker relative to other brokers and policies and achievement of a target ELR which is acceptable. This target ELR will reflect that there is still a need to make additional allowances for IBNR at account level.

Outstanding loss ratio (OLR)

This loss ratio is extracted directly from the computer system or claims files. These figures represent claims that have been reported to insurers but not yet settled. This ratio does not recognise the fact that 100% of the premium has not yet been earned, instead claims are compared against 'booked' premium and as such are of fairly limited value.

Account performance and monitoring

Armed with all this information regarding claims and premiums, managers must also make decisions about periods over which this information should be monitored.

The main types of monitoring period are:

Policy year

Policy year tracking is suitable for addressing the performance of individual policies. Generally, each twelve-month period would constitute a separate policy 'year'.

Underwriting year

This type of monitoring period is used at account level, with individual policy data being grouped into 'underwriting years' based on the year in which the policy incepts (or renews).

Assuming policy periods are twelve months long, two years will elapse between the start of the underwriting year and the last date of cover of the last policy to be attached to that year. However, those risks will have been subject to the particular underwriting and pricing philosophy in use during the underwriting year. The monitoring period thereby focuses on both claims trends and also the impact of decision-making as it develops with time.

Calendar year

With this type of monitoring, claims and premiums from individual policies are allocated to a calendar year.

Claims are allocated to the relevant year on the basis of the date of loss.

Premiums are allocated according to that portion of the policy premium that is earned during the relevant calendar year.

For example, if a policy ran from 1 July 2016 to 30 June 2017, and the premium was £1,000, only half (£500) the premium would have been 'earned' in 2016, because only half the policy year is in 2016, the other half being in 2017.

Accounting year

This is similar to the calendar year approach, but with the following modifications:

- The period will depend on the financial year, e.g. 1 October to 30 September, rather than 1 January to 31 December.
- Prospective premium and claims developments from the accounting year end have to be estimated.

Because estimates are incorporated, trends are harder to detect; therefore, this information should only be used to support decision-making as a last resort.

10

Establishing the price: pricing factors

Risk premium

Risk premium can be defined as:

the expected ultimate cost in claims of the risk being accepted, including an allowance for the degree of uncertainty attaching to the claims cost (whether in the estimating process or through the nature of the claims themselves).

It can be further defined as representing the amount of money required today to fund claims, i.e. the time value of the money is taken into account.

In other words it is the premium required to cover the total cost of claims, recognising that in some cases these may take some considerable time to settle. An example would be an employers' liability claim for an industrial disease. It could take several years to identify the existence and impact of the disease and then several more years to settle the claim. By the time settlement is made inflation and other external factors such as changes in legislation could mean that the real cost of settlement is much higher than would have been the case had the claim been settled in the policy year.

Frequency

The expected number of claims should be forecast accurately; it should also account for anticipated changes in the environment, the portfolio of risks and the individual risks.

You would expect a higher frequency on a motor account than on a fire account, simply because motor accidents are more common than fire and special perils claims.

Severity

Likewise, the average cost of different types of claim should be assessed. The average cost of a fire claim would tend to be higher than a motor accident. An allowance should always be made for catastrophes (these would include windstorm and flooding in the UK and earthquakes and hurricanes elsewhere in the world).

Large claims

Underwriters need to consider, in respect of any class of business, how many *large claims* they can expect and how much they need to allow for these claims.

Large claims play a disproportionate role in pricing and profitability, with smaller insurers being particularly disadvantaged as their portfolio is less likely to be able to absorb such losses.

Large claims, specifically those involving liability to third parties, are increasingly impacting future ratings. In recent years, the use of periodic payment orders (PPOs) has increased for serious personal injury claims. PPOs can add significant costs to claims settlements, as they are designed to make structured payments to claimants for life, and to avoid the need for the State to fund care costs once settlements have been spent by claimants. Owing to the need for structured payments, there is an increased

cost incurred through administration and in better predicted lifespans of claimants.

The changes made to the personal injury discount rate in March 2017 saw an impact on both existing and new claims, with reserves on some large personal injury claims increasing by more than 100% to allow for the lack of any future investment income. This was then improved with the revised rates of -0.25% in August 2019 and $+0.5\%$ in January 2025.

Reinsurance cost

In order to protect the company from catastrophic single or combined losses (e.g. a flood in the UK for a household insurer) insurers often buy reinsurance protection. The variety of types of covers available is outside the scope of this course, but it is important to understand that these costs must be factored in to the pricing of the product costs (the premium).

Claims run-off

An underwriter will see risks being re-reserved once more information relative to a claim becomes available. Sometimes claims may be re-opened although you should note that in respect of liability claims insurers will use precautionary reserves even if the insurer has declined liability for an incident. This is because an insurer has a regulatory obligation to identify its potential liabilities and needs to ensure that adequate reserves are in place. The insurer may decline liability for an incident but could still end up losing the legal argument and having to pay the claim.

Such claims movements are referred to as **run-off** and could produce a surplus or a claims deficit.

IBNR (incurred but not reported) claims

At the end of a year when all the numbers are totalled, underwriters look at them and base all pricing decisions on the figures recorded on 31 December. But this only deals with a certain percentage of claims. Think about the last few weeks in December. People are busy, post is slow, people often take extended Christmas holidays. This all impacts on the reporting of claims, in other words, many claims events may have occurred which are not recorded in insurers' books. These are referred to as incurred but not reported (IBNR). It is important that such claims are accounted for when assessing the total claims for that underwriting year, otherwise the numbers on which pricing is based are inadequate.

Another example is Hurricane Dorian that struck the Bahamas in 2019. Insurers would be aware if they had exposure in the affected region but there would be a delay in residents returning to their homes, assessing the damage and reporting it to insurers.

Catastrophe claims

Catastrophe claims differ from large claims in the sense that they reflect the accumulation of a large number of claims, all arising from a common event such as a hurricane.

The underwriter needs to estimate both their frequency and severity, and manage their exposures and buy optimal levels of reinsurance cover.

Latent claims

For liability classes, latent claims are an extreme form of IBNR as, in some instances, there may be more than 50 years between the cause and the claim.

For instance, asbestos-related diseases such as mesothelioma have been given a high profile with many insurers in the UK and the USA having to create reserves now for incidents which occurred over 40 years ago. Another form of latent claim is that of abuse, with claims not being brought for many years. In addition, insurers are becoming increasingly aware of new or emerging risks such as stress, toxic mould and EMF (the technology associated with mobile phones).

These types of claims are referred to as 'long tail' claims. In other words while the business has been written many years ago, the claims can still come in many years afterwards. Such claims are now presenting the insurance industry generally with serious issues.

Claims inflation

Claims inflation, especially in respect of personal injury claims, often exceeds generic inflation due to changes in legislation, some of which are retrospective. Recent changes in legislation include NHS recoveries and changes in the discount rates on the Ogden personal injury discount rate tables discussed in earlier chapters. To take account of inflation the premium needs to be adjusted to reflect any devaluation of the funds available to pay claims when they arise.

Exposure

Claims data is historical and, therefore, should be adjusted to reflect today's **exposure** rather than that when the claims arose. This may require consideration regarding change in the amount of the exposure and/or changes to the inherent risks relative to the risk presented. For example, working practices in an industry may have changed such that certain types of claim which were previously common to that industry may now be unlikely due to changes in working practices.

Fraud

Several insurers now have dedicated anti-fraud teams, particularly for retail and small and medium enterprises (SME) insurances, which are becoming increasingly commoditised and traded via e-trade routes (i.e. insurers' websites, software house systems, aggregators online).

A key issue facing insurers is the increasing prevalence of fraud; both claims fraud (crash for cash), and application fraud (misrepresenting information online to obtain a price, or changing answers several times to sense check and obtain the best price).

Insurers are allowing for this cost in their pricing, typically by expressing the increase cost as a deterioration to their loss ratio. For example, if an insurer writes to a 55% developed loss ratio via intermediaries, they may increase this loss ratio significantly (for example, by over 10%) to reflect the increased claims cost of transacting business via an electronic route online.

Legal Aid, Sentencing and Punishment of Offenders Act (LASPO) 2012

Following the implementation of LASPO (as amended by the **Police, Crime, Sentencing and Courts Act 2022**) in 2013, several insurers anticipated improvements in claims costs, owing to changes to the way claims are notified and settled. These anticipated improvements were translated into rate reductions, particularly for casualty and motor business, where some insurers reduced rates by up to 15%. This improvement has not been realised by insurers; while there was improvement in loss ratios, particularly in motor insurance, following implementation of LASPO, these have not continued over the long term. It is generally accepted that

the legislation continues to have an impact, but that more still needs to be done to protect against undue costs as a result of spurious or exaggerated claims, and claims farming.

Expenses

There are also other factors that need to be taken into consideration, such as the cost of running an insurance business, and this needs to be recovered through the 'price' charged. The total of these costs, together with any commission paid, also needs to be considered. This is essentially an accounting function, and underwriting skills would add little or nothing.

Examples of expenses include:

- staff costs;
- premises;
- electricity and other utilities;
- computers and machinery;
- marketing and advertising; and
- commission paid to agents and brokers.

Fixed expenses

There will always be a cost associated with processing a particular product; this cost does not increase with the size of the risk.

As an example, the accounting entries, record-keeping, policy issue and certificate production for a given product are likely to be much the same for a £1,000 risk as for a £100,000 risk.

Therefore, a fixed amount should be allocated per policy.

Variable expenses

Conversely, there are expenses that vary according to the size, complexity and nature of each risk. For example, larger risks tend to be more complex, require more mid-term changes and are likely to require a higher level of service from surveys and risk management, while others require more bespoke solutions tailored to the needs of individual proposers.

The price, therefore, needs to take into account the amount of such variable costs for each product line. Examples of variable costs could be grouped under the following headings:

Underwriting

Services such as policy alterations, risk management, disaster recovery planning, help lines etc., provided to policyholders are independent of the existence or volume of claims.

Commission

Commission is the amount (normally a percentage) paid to the agent, intermediary or broker who introduces the business to the insurer (and is paid for subsequent periods of insurance). This may vary from 7.5% on a motor fleet up to 25% or more on some classes of commercial credit insurance.

Commission can take other forms (e.g. work transfer). In a work transfer arrangement, the insurer pays the intermediary a percentage of the premium charged in exchange for taking on more work (e.g. issuing documentation, acting as the underwriter under the terms of a delegated authority). Such payments are more common with particular classes of insurance and segments (e.g. real estate).

Claims handling

This cost varies according to the number and complexity of claims. There should therefore be:

- a charge per claim; and
- a charge reflecting the differences in the volume of work required for more involved cases.

These charges, again, vary by product and claim type.

Other expenses

Insurers sometimes incur other costs for the policies they sell. Usually, the following tools can help deliver the insurer's target combined operating ratio (COR) if they are used correctly:

- Risk management funds: in the real estate market, these funds are offered to a customer towards the agreed costs in maintaining or protecting the asset(s).
- Low claims rebates: some insurers offer to pay back a portion of the premium to incentivise more positive risk management.

Return on capital employed (ROCE)

The *return on capital employed (ROCE)* is a key financial concept. The 'risk capital requirement', calculated by actuaries, is the proportion of total account premiums which must be kept as free reserves to ensure that an insurer can meet its claims obligations.

As the return (i.e. **profit**) is measured as a proportion of the capital employed (ROCE), classes of insurance with a higher degree of volatility must be capable of generating higher profits if they are to justify the shareholders taking that risk.

Investment income

Insurers are able to earn *investment income* by virtue of the substantial amounts of capital and reserves they control. They are required by law to maintain certain levels of reserves based on the total premium income they receive. This is to pay for future claims.

They are allowed to invest this income. The income received from this investment process is another 'earning stream' for the business.

The 'underwriting result' is the business result without investment income. It consists of the combination of the loss ratio, the commission ratio and the expense ratio. This is referred to as the **combined operating ratio (COR)** and is a common measure of the financial health of general insurers. While this figure is a percentage, the underwriting result is an actual profit or loss value.

It is this relationship between profit and the yield from the underwriting result plus investment income that tends to produce the cyclical nature of insurance. This causes swings between hard markets (when rates and premiums are higher) and soft markets (when they tend to be lower to attract more business on which to secure investment returns). The market will turn from soft to hard when the returns for insurers are inadequate and capital – as a consequence – is withdrawn. Once the insurance market peaks capital re-enters the market and in accordance with supply and demand theory rates drop and the market becomes soft. We shall look at this in more detail in the next chapter.

Income only, or capital gains too?

Insurers tend to balance their portfolio between two broad classes of investment:

- interest-bearing investments; and
- investments whose value can be expected to grow at least in line with the economy (equities).

The latter have generally generated a higher rate of return over the medium to long term, but are more volatile in the short to medium term, hence the balance.

If the contributions of capital gains were ignored, returns would be understated, and the insurer's products may become overpriced and uncompetitive.

Actual or expected rates of return?

If capital gains are included, the investment returns are likely to be volatile. Even the income-only element is likely to move with the economic cycle. Current yields only reflect historical rates.

Therefore, a detached assessment should be made of the rates expected to be available over the lifetime of the contract.

Premium taxes

In the UK, these come in a variety of forms ranging from 'pure' taxation (e.g. insurance premium tax) expressed as a fixed percentage of premium, to quasi-taxation such as the levies raised by:

- the Financial Services Compensation Scheme (FSCS);
- the Motor Insurers' Bureau (MIB); and
- Mesothelioma Act 2014 levy.

Financial Services Compensation Scheme (FSCS)

The FSCS levies a surcharge based on a percentage of gross direct premium to fund claims by policyholders whose insurer has become insolvent. The demands on the FSCS are difficult to forecast and, therefore, the amount of the levy cannot easily be assessed.

In effect, therefore, if a policy is priced incorrectly, it may be the shareholders and not the policyholders who fund the levy.

Motor Insurers' Bureau (MIB)

The MIB is a not-for-profit, industry funded compensation body. It compensates people for injury and eligible property damage by an uninsured or untraced driver when compulsory motor insurance should have been in place. It is funded by an annual levy on all UK motor insurers. The levy is split between insurers in proportion to their gross written motor premiums by class, using specific weighting factors.

Underwriters will therefore need to forecast and incorporate the MIB levy into technical pricing.

Mesothelioma Act 2014

Mesothelioma is a cancer of the lining of the lungs and other organs following exposure to asbestos or materials containing it. It takes a long time to manifest itself, on average anywhere from 15 to 20 years after exposure.

From March 2014, a levy has been charged on all premiums for employers' liability cover. This levy funds the Diffuse Mesothelioma Payment Scheme, which allows those suffering from mesothelioma-related illnesses, but unable to trace their employers, to obtain financial support. It is

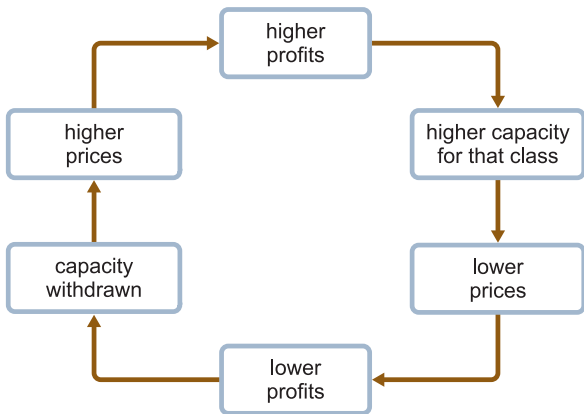
understood that the total amount of the levy to be charged for 2024/25, the eleventh year of the scheme, is £28.6 million.

11

Managing exposure

Market cycle

The classic insurance cycle can be illustrated as follows:



It goes without saying that if an insurer experiences higher profits in a particular class of business, it and its reinsurers will want to increase investment in that class to accept more business with a view to generating greater profits. Market-wide capacity therefore increases, but premium rates

are reduced as insurers try to maintain market share and underwrite more new business risks. Unfortunately claims costs rise as a result of claims inflation and this, plus a reduced premium rate, affects underwriting profits. The result is a reduction in returns for investors and eventually, the withdrawal of capacity which causes premiums to rise (supply versus demand). Once insurers are seen to be making good returns again, capital re-enters the market, rates fall and the cycle is repeated.

This is known as the insurance cycle. During times when rates are reducing the market is said to be **softening**, but when rates are increasing the market is said to be **hardening**.

From a risk perspective, cycles can be **shortened** by for example:

- Amendments to legislation that result in new liabilities arising for different classes of accident, injury or loss, where none existed previously.
- More onerous legislation can extend liabilities, which were not envisaged or reflected in premium levels, during the currency of policies.
- Weather-related incidents such as the floods due to Storms Ciara and Dennis in early 2020.
- Major disasters such as hurricanes or acts of terrorism. Following the events of 9/11, the worldwide insurance market turned instantaneously.

Be aware

The COVID-19 pandemic has had the effect of lengthening an already hardening insurance market, meaning premiums will continue to increase, risk appetite and capacity may be reduced, and insurers may wish to restrict the scope of policy coverage they are prepared to offer on specific risks.

Risk accumulation

Insurers must always be aware of loss exposures arising from:

Single risks

Property and business interruption risks

Taking a fire risk as an example, calculating the maximum exposure for any one risk is not simply a case of adding the sums insured at a single location, but involves assessing the **estimated maximum loss (EML)** which is likely to occur. (N.B. This is also sometimes referred to as the maximum probable loss (MPL), although some insurers using MPL also do so as a more conservative assessment using different rules on which to base the maximum loss.)

The EML must be accurate to have any purpose: it will have important reinsurance (and commensurate premium) implications. Once the EML has been calculated, an underwriting decision must be taken on the desirability of accepting the risk within the gross account. This is influenced by the extent to which this risk, when added to other accumulations at that risk, will aggregate to produce too high an exposure from a single risk.

If the EML is greater than the insurer's acceptability limits it has two options. Firstly, it could purchase reinsurance so that it can write 100% of the risk or, alternatively, it could take a proportion of the risk and co-insurance would need to be arranged. Co-insurance is the sharing of a risk between two or more insurers.

Liability risks

The handling of liability business is slightly different as cover is based on a limit of liability rather than a sum insured and an EML. In the liability market it is common to encounter layering of limits of liability.

An insurer may be presented with a risk relating to the manufacture of a certain product. It feels that it can only accept a limit of liability of £2m, but the proposer requires a £5m limit of liability. In these circumstances the proposer would arrange additional protection between £2m and £5m with another insurer, i.e. they will purchase excess of loss insurance for £3m in excess of £2m.

Single events

The threat of catastrophe is a phenomenon that insurers have to accept as part of their business. Many individual losses can result from one catastrophic event affecting a large number of policies, e.g. a windstorm on the south coast could affect household, commercial, fire, motor, marine and aviation policies. Here, insurers have to acknowledge such possibilities and seek the financial stability that catastrophe reinsurance protection can offer.

Reinsurance

Reinsurance is an extension of the fundamental concept of insurance, that is, the sharing of risk: it is an insurance organised by an insurer against claims incurred under contracts of insurance written by that insurer. In essence, an insurer insures the risk again.

Why do underwriters seek reinsurance?

There are a number of reasons (although the following list is not definitive), including:

- protection of the account against a single large event, e.g. earthquake;
- protection of the account against a large claim on a single item, i.e. an art museum;
- protection of company capital;
- protection against fluctuating claims costs from year to year;
- operational capacity, i.e. insurer X may only be able to insure fire risks up to £1m and prearranged reinsurance facilities in excess of this can ensure an acceptable level of services is provided to customers;
- entering a new market, e.g. a life company starting a marine or aviation portfolio;
- building up the account;
- minimising loss impact on income generated;
- underwriters' peace of mind; and
- sharing heavy/hazardous risks.

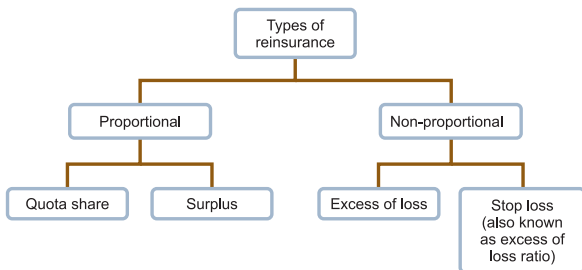
The underwriter should always bear in mind that they are legally bound to pay for losses arising **before** seeking their indemnity through reinsurers. This can place an obvious strain on resources.

Types of reinsurance

Essentially, there are two main types of reinsurance:

- **proportional**; and
- **non-proportional**.

These can then be further sub-divided as follows:



Proportional reinsurance

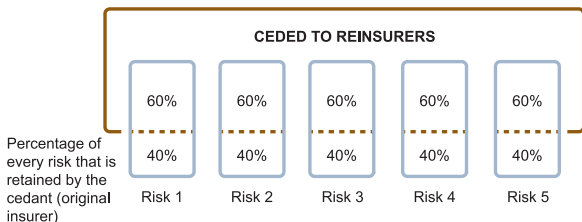
Here, the reinsurer accepts an agreed share of the risk to be ceded (put forward for reinsurance), and pays any loss incurred on the same basis.

Proportional reinsurance can be divided into quota share and *surplus*.

Quota share

With quota share reinsurance, an agreed proportion of all insurances written by an insurer will fall within the treaty. For example, if an insurer has a treaty covering 60% of its motor portfolio, the reinsurer would accept liability for 60% of every policy written (even if the insurer could actually retain certain policies within its own acceptance limits).

This form of reinsurance is principally utilised by new insurance companies, or where an existing company is embarking on a new class of insurance.



Surplus

With this form of reinsurance, the insurer only reinsures those risks where the sum insured exceeds its own retention limit. The insurer will purchase additional lines equal to the line it is able to write, known as the 'maximum retained line'.

Non-proportional reinsurance

With these types of reinsurance, a reinsurer agrees to contribute to losses exceeding a specified figure for a premium negotiated with the insurer.

Non-proportional reinsurance can be divided into **excess of loss** and **stop loss** (also known as excess of loss ratio).

Excess of loss

This could be written on a:

- per risk basis;
- per event basis.

Stop loss (excess of loss ratio)

With this type of reinsurance, the insurer is primarily concerned with protecting its loss ratio. If, for example, an insurer wanted to prevent its maximum loss ratio from exceeding 80%, it could obtain reinsurance for claims in excess of this figure.

Reinsurers would usually limit their maximum liability and would also generally insist that an insurer shares in any reinsured loss. Otherwise the insurer would basically be guaranteeing that it would not suffer an underwriting loss.

Summary of reinsurance terminology

To cede	The act of sharing the risk with reinsurers.
Cedant	Another word for the original insurer who is passing the risk to reinsurers.
Facultative reinsurance	Reinsurance purchased for an individual risk, generally because it would not fit within any other part of the reinsurance already available. Will only respond to claims arising out of that one risk.
Proportional reinsurance	Reinsurance where the premium and claims are shared between insurer and reinsurer in pre-agreed proportions, such as 30%. In the simplest form of contract there will be no financial limitations, the reference will only be made to proportions but in more complex contracts there will be limits expressed in financial terms relating to the size of the risks that can be shared with the reinsurers. Quota share and surplus treaty reinsurance are examples of this type.
Retrocedant	A reinsurer obtaining reinsurance for itself.
Retrocession	A cession where the entity ceding is already a reinsurer.
Retrocessionaire	A reinsurer accepting reinsurance from an entity that is itself a reinsurer.
Treaty reinsurance	Reinsurance that can be purchased to cover a wider portfolio of risks, either a class of business or even an insurer's whole book of business.



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